

## 8

# Investments and International Operations

**SPOTLIGHT****Vivendi**[www.vivendi.com](http://www.vivendi.com)

What do *Universal Music Group* (with artists such as Taylor Swift, Katy Perry, and Justin Bieber), *Canal+* (a pay TV operator and a major film production and distribution company), *Dailymotion* (one of the largest video content aggregators on the Internet), *Ubisoft* and *Gameloft* (prominent video game developers), and event venues such as *L'Olympia* and *Abbey Road Studios* have in common? Believe it or not, they are all related companies! Vivendi is either an owner of, or an investor in, all these companies. ●

PIXA/Shutterstock.



You might still be wondering how all those companies are related to Vivendi. This is why some understanding of intercorporate investments is an important element in your study of accounting. It is a challenging topic, but all the companies you have seen so far, from Alibaba and LEGO, to Airbus, have subsidiaries and investments in other companies. For this chapter, our focus is on financial assets and investments, so let's first have a look at the pertinent accounts of Vivendi's consolidated Balance Sheet.

| A1 |                                                     |                      |                      |
|----|-----------------------------------------------------|----------------------|----------------------|
|    | A                                                   | B                    | C                    |
| 1  | <b>Vivendi Group<br/>Consolidated Balance Sheet</b> |                      |                      |
| 2  | <b>(Adapted, in millions of €)</b>                  | <b>Dec. 31, 2015</b> | <b>Dec. 31, 2014</b> |
| 3  | Cash and cash equivalents                           | € 8,225              | € 6,845              |
| 4  | Trade and other receivables                         | 2,139                | 1,983                |
| 5  | Current financial assets                            | 1,111                | 49                   |
| 6  | Non-current financial assets                        | 4,132                | 6,144                |
| 7  | Investment in equity affiliates                     | 3,435                | 306                  |
| 8  | Subtotal financial assets and investments           | 19,042               | 15,327               |
| 9  | Total assets                                        | € 34,946             | € 35,738             |
| 10 |                                                     |                      |                      |

This Balance Sheet shows the financial assets and investment-related accounts for the Vivendi group. As you can see, Vivendi has some cash and cash equivalents, trade and other receivables, short-term financial assets, investment in equity affiliates, and non-current financial assets, totaling about €19 billion (line 8), out of total assets of €35 billion (line 9). Actual investment (lines 5–7) totaled only €8.7 billion. How could this relatively small amount of investment be the connecting factor for all of Vivendi's businesses?

The consolidated Balance Sheet is what Vivendi (as a group) collectively has in terms of investments and does not show the investments in its own subsidiaries. Financial performance and financial position of all the companies in a group are consolidated at a group level (we will discuss consolidation later). The second Balance Sheet, which follows, is for the Vivendi parent entity only. You can see that the overwhelming majority of the parent entity's €31.5 billion total assets (line 8) are in the form of "long-term investments" of about €20.7 billion (line 6). This is the account that connects all the Vivendi businesses because this is where Vivendi, the parent company, records all its investments in its subsidiaries and affiliates.

| A1 |                                                       |             |             |
|----|-------------------------------------------------------|-------------|-------------|
|    | A                                                     | B           | C           |
|    | <b>Vivendi Group<br/>Parent Company Balance Sheet</b> |             |             |
| 1  |                                                       |             |             |
| 2  | <b>(Adapted, in millions of €)</b>                    | <b>2015</b> | <b>2014</b> |
| 3  | Cash and cash equivalents                             | € 1,043     | € 1,426     |
| 4  | Trade and other receivables                           | 2,208       | 2,014       |
| 5  | Marketable securities                                 | 7,528       | 5,426       |
| 6  | Long-term investments                                 | 20,697      | 21,895      |
| 7  | Subtotal financial assets and investments             | 31,476      | 30,761      |
| 8  | Total assets                                          | € 31,499    | € 30,781    |
| 9  |                                                       |             |             |

One of your learning goals should be to develop the ability to analyze whatever you encounter in real-company statements. This chapter will help you advance toward that goal. The first half of this chapter shows how to account for investments, including a brief overview of consolidated financial statements. The second half of the chapter covers accounting for international operations.

## LEARNING OBJECTIVES

- |                                                                                                                                                                                                        |                                                                                                                                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|
| <p><b>1 Understand</b> categories of financial asset investments</p> <p><b>2 Use</b> the equity method for investments</p> <p><b>3 Understand</b> the concept of consolidated financial statements</p> | <p><b>4 Account</b> for international operations and transactions</p> <p><b>5 Evaluate</b> a company's overall performance</p> |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|

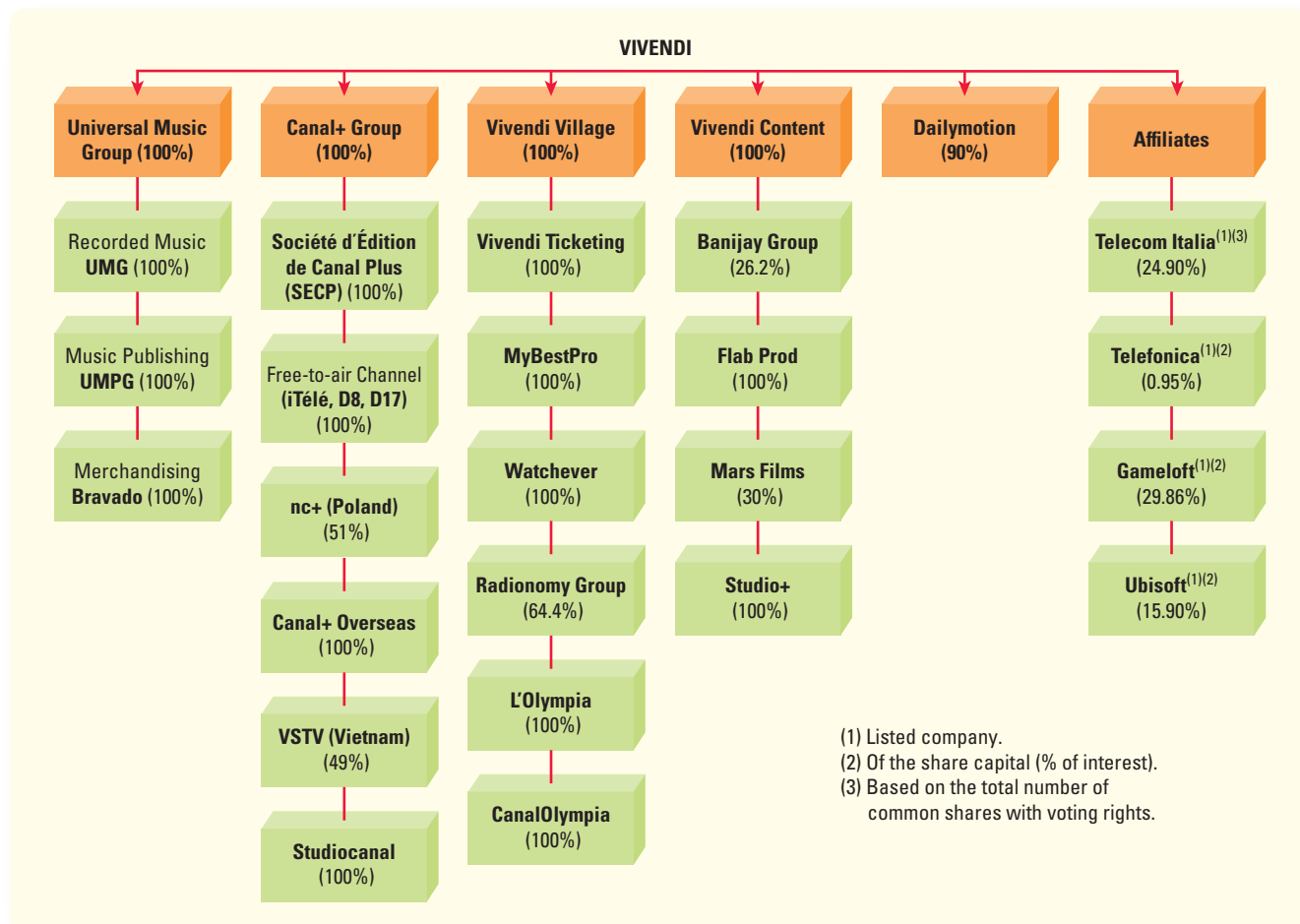
### Investments: An Overview

Businesses make investments in many forms, from buying equipment and inventory to investing in **financial assets**. *IAS 32—Financial Instruments: Presentation* defines financial assets as any asset that is (a) cash, (b) an equity instrument in another entity, (c) a contractual right to receive cash or financial assets of another entity, or (d) a contract that will or may be settled in the entity's own equity instruments. In this chapter, we examine various investments that an entity makes, with emphasis on financial asset investments other entities.

Companies invest in debt or equity securities of other companies for a number of reasons, such as:

- They may have excess cash that they do not need immediately that can be put to better use by investing on a short-term basis with the hope to earn additional income (from interest, dividend, or capital appreciation) to benefit operations.
- They may have longer-term strategic objectives, such as obtaining the ability to influence or control another company. For example, a company may move up or down their value chain (a supplier or a distributor) in order to obtain a steady stream of raw materials and a secure distribution channel.

To consider investments, we need to define two key terms. The entity that owns the shares of a corporation is the *investor*. The corporation that issues the shares is the *investee*. If you own Vivendi shares, you are an investor and Vivendi is the investee. Similarly, a company may also own shares of another company. Vivendi, for example, owns 100% of Universal Music Group and Canal+ Group, 90% of Dailymotion, 49% of a TV station in Vietnam, about 30% of Gameloft

**Exhibit 8-1** Vivendi and Its Major Investments

Source: Reproduced based on Vivendi Group's information as at January 2017.

and others. Exhibit 8-1 shows Vivendi's key subsidiaries and affiliates at March 2016. Prior to 2016, Vivendi was also an investor in GVT and SFR (telecommunication companies in Brazil and France), Activision Blizzard (makers of games such as *World of Warcraft* and *Call of Duty*), and Universal Studios theme parks!



You can check Vivendi's current share price online. Some companies provide share information directly on their websites, but for others, you may have to visit the actual stock exchange where the company is listed to see "live" prices. For Vivendi, you can visit <http://www.vivendi.com/investment-analysts/share-price-dividend-and-shareholding-structure/share-price/> and check out its share price information and charts.

**Reporting Investments on the Balance Sheet.** An investment is an asset to the investor. The investment may be short-term or long-term, as classified by *IAS 1—Presentation of Financial Statements*. **Short-term investments** are investments in financial assets that are expected to be realized within 12 months. They can be classified as either *trading*, *held-to-maturity*, or *available-for-sale*, depending on management's intent and ability to hold them until they mature. Investments that aren't short-term are listed as **long-term investments**, a category of non-current assets. Long-term investments include shares and bonds that the investor expects to hold for longer than one year. Exhibit 8-2 shows where short-term and long-term investments typically appear on the Balance Sheet. In practice, you may see different account names being used.

**Exhibit 8-2** Reporting Investments on the Balance Sheet

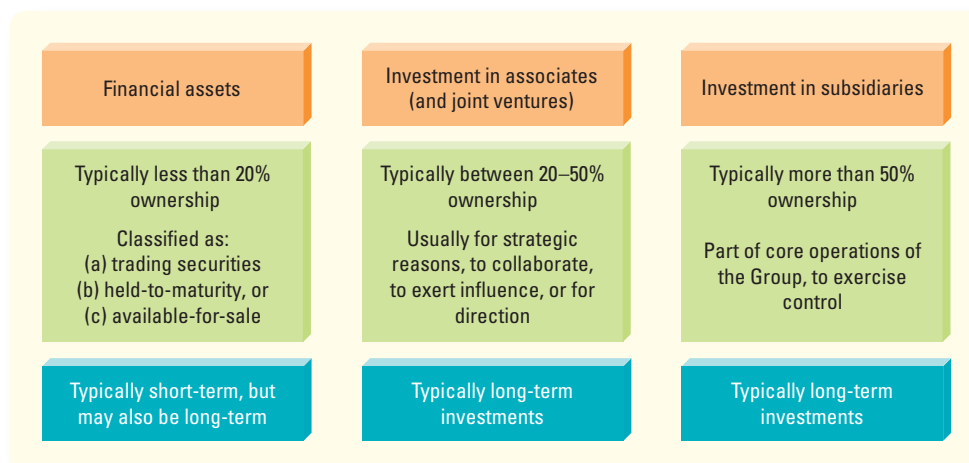
|    | A1                                                          |      |   |
|----|-------------------------------------------------------------|------|---|
|    | A                                                           | B    | C |
| 1  | <b>Current Assets:</b>                                      |      |   |
| 2  | Cash                                                        | \$ X |   |
| 3  | Short-term investments (or trading / marketable securities) | X    |   |
| 4  | Accounts receivable                                         | X    |   |
| 5  | Inventories                                                 | X    |   |
| 6  | Prepaid expenses                                            | X    |   |
| 7  | Total current assets                                        |      | X |
| 8  | <b>Non-current Assets:</b>                                  |      |   |
| 9  | Long-term investments (or simply Investments)               | X    |   |
| 10 | Property, plant and equipment                               | X    |   |
| 11 | Intangible assets                                           | X    |   |
| 12 | Other assets                                                | X    |   |
| 13 | Total non-current assets                                    |      | X |
| 14 | Total Assets                                                |      | X |
| 15 |                                                             |      |   |

Look at Vivendi's Balance Sheet extracts on p. 448. Vivendi group calls its short-term investments "current financial assets" (line 5) and the long-term investments are further divided into "non-current financial assets" (line 6) and "investment in equity affiliates" (line 7). Vivendi (the parent company) calls its short-term investments "marketable securities" (line 5) and "Long-term investments" (line 6). As of December 31, 2011, approximately 590 entities were consolidated or accounted for using the *equity method* (more on this later) in the Vivendi Group.

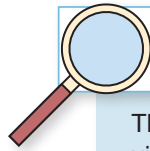
## UNDERSTAND CATEGORIES OF FINANCIAL ASSET INVESTMENTS

Let's put the various types of investments into the big picture perspective before discussing their accounting treatment. Exhibit 8-3 shows three categories of investments: financial assets, investment in associates (or affiliates), and investment in subsidiaries and their general characteristics.

**1 Understand**  
categories of financial  
asset investments

**Exhibit 8-3** Categories of Investments

Financial assets are investments in which an investor does not play any role in the operations of the investee. For example, you can purchase some Vivendi shares from the Euronext Paris stock exchange, but you are unlikely to be able to direct or influence Vivendi to release more sequels of your favorite computer games, or to stop selling records of an artist you don't like. In general, investments below 20% can be termed "passive investments" because the investor does not play an active role or exert much influence on the investee. On the other hand, ownership between 20% and 50% may provide an investor with the opportunity to significantly influence the investee's operating decisions and policies over the long run. These investees are usually called "associates" or "equity affiliates." An investment above 50% would typically allow an investor a great deal of long-term influence and control over the investee company, and these investees are said to be "subsidiaries" of the investor, typically a parent company.



### A Closer Look

There is another category of financial assets: "loans and receivables." We have previously discussed the accounting treatment for loans and receivables in Chapter 5. The key thing to remember is that loans and receivables are typically recorded at the original loan or invoiced amount less any impairment for uncollectible loans/receivables. If the loans and receivables contain an interest element (such as notes receivables), the interest component is accounted for using the effective interest rate method. Since our focus is on investments in debt and equity securities, we will not mention loan and receivables as a type as financial asset in this chapter.

Percentage of ownership is a good indicator of this accounting treatment, but the underlying principle is more important than the actual percentage of ownership. *IAS 28—Investment in Associates* states that the equity method is to be used when an entity has "significant influence" over its investee. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but where the investor does not have control or joint control over those policies. While this usually exists when the shareholding exceeds 20%, it is not always the case.

Similarly, consolidation is usually performed when an entity holds more than 50% of an investee. *IFRS—10 Consolidated Financial Statements* states that the primary determinant of whether an entity is consolidated or not is the existence of "control." Control is the power to govern the financial and operating policies of an investee so as to obtain benefits from its activities. For example, even if shareholding is below 50%, if an entity is able to elect a majority of the members of the investee's board of directors and, thus, control the investee, the investee is still considered a subsidiary and will be consolidated.

The new *IFRS 9—Financial Instruments* will be effective from 2018 (but may vary in different jurisdictions). IFRS 9 will effectively remove the "available for sale" classification. Financial assets are to be measured either at fair value (similar to how trading or marketable securities is accounted for under *IAS 39*) or amortized cost (similar to how held-to-maturity is accounted for under *IAS 39*). IFRS 9 is beyond the scope of this introductory text, but if you are an accounting major, you are bound to see IFRS 9 sometime in your further study. For now, we will continue to explain financial assets investments using *IAS 39*.

Let's look at these types of investments in turn and understand how they are accounted for in the books of the investor.

*IAS 39—Financial Instruments: Recognition and Measurement* classifies financial assets into trading securities, loans and receivables, held-to-maturity securities, and available-for-sale investments. For example, you already saw that Vivendi's financial assets include its cash, trade and other receivables, equity investments, and other financial assets—both current and non-current. The key issue here is that measurement of a specific financial asset depends on its classification. Exhibit 8-4 summarizes the financial classifications under *IAS 39* (i.e., the left-most category in Exhibit 8-3, discussed earlier).

**Exhibit 8-4** Financial Classifications under IAS 39

| Type of Investment      | Trading          | Available-for-Sale                  | Held-to-Maturity                    |
|-------------------------|------------------|-------------------------------------|-------------------------------------|
| Asset classification    | Current assets   | May be current or non-current asset | May be current or non-current asset |
| Initial measurement     | Cost             | Cost                                | Cost                                |
| Subsequent measurement  | Fair value       | Fair value                          | Amortized cost                      |
| Unrealized gains/losses | Income Statement | Other comprehensive income          | Not recognized                      |

Have a look at how Vivendi expressed its financial assets accounting policy. You will notice the characteristics we summarized above in the following excerpts. It may look a little complicated, after all we are dealing with a large, complicated, multinational and diversified company, but we will discuss each classification in turn.

### ADAPTED EXCERPTS FROM VIVENDI'S NOTES TO THE ACCOUNTS

#### Financial Assets

Financial assets consist of *financial assets measured at fair value and financial assets recognized at amortized cost*. Financial assets are initially recognized at fair value corresponding, in general, to the consideration paid, which is best evidenced by the acquisition cost (including associated acquisition costs, if any).

#### Financial Assets at Fair Value

Financial assets at fair value include (1) available-for-sale securities and other financial assets measured at fair value through profit or loss. Most of these financial assets are actively traded in organized public markets, their fair value being determined by reference to the published market price at period end.

(1) Available-for-sale securities consist of unconsolidated interests and other securities not qualifying for classification in the other financial asset categories described below. Unrealized gains and losses on available-for-sale securities are recognized in charges and income directly recognized in equity until the financial asset is sold.

(2) Other financial assets measured at fair value through profit or loss mainly consist of assets held for trading which Vivendi intends to sell in the near future (primarily marketable securities). Unrealized gains and losses on these assets are recognized in other financial charges and income.

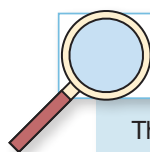
#### Financial Assets at Amortized Cost

Financial assets at amortized cost consist of loans and receivables and held-to-maturity investments (financial assets with fixed or determinable payments and fixed maturity). At the end of each period, these assets are measured at amortized cost using the effective interest method.

Source: Vivendi's 2015 Financial Statements, pages 41–42

### Trading Securities

**Trading securities** is the common term for short-term investments in marketable securities (such as shares or bonds). The purpose of having trading securities is to hold them for a short time and then sell them for more than their cost; in other words, with the intention of earning a profit. While holding the investments, the investor also collects dividends or interest income paid by the investees. Trading securities allow the company to invest cash for a short period of time and earn a return until the cash is needed. Short-term investments are usually the next-most-liquid asset after cash. This is why we usually report short-term investments immediately after cash and before receivables on the Balance Sheet.



## A Closer Look

The official term for trading securities in IAS 39 is “Fair Value through Profit or Loss,” which includes financial assets that are held for trading, which is why they are usually called trading securities. In addition, certain financial assets may also be designated on initial recognition as items to be measured at fair value with fair value changes in profit or loss.

The trading securities category (and later available-for-sale as well) uses a “fair value” as the basis for subsequent measurement on the Balance Sheet. The fair value is the amount that would be received for the securities in an “orderly sale” based on available evidence. *IFRS 13—Fair Value Measurements* offers three levels of fair value hierarchy:

- Level 1: quoted prices in an active market for identical assets.
- Level 2: estimates based on other observable inputs (e.g., quoted prices for similar assets in an active market, or quoted prices for identical assets in an inactive market).
- Level 3: estimates based on unobservable estimates (i.e., the company’s own estimates based on certain assumptions, taking into account all information that is reasonably available).

The investor, such as Vivendi, expects to sell a trading security within the coming financial year. Therefore, all trading securities are included in current assets.

Suppose Vivendi purchases Sony Corporation’s shares, intending to sell the shares within a few months. If the market value of the Sony shares increases, Vivendi will have a gain; if Sony’s share price drops, Vivendi will incur a loss. Along the way, Vivendi will receive dividend income from Sony, like any other Sony shareholder.

Suppose Vivendi buys the Sony shares on November 18, paying \$100,000 cash. Vivendi records the purchase of the investment at cost:

| A1 |        |                              |         |         |
|----|--------|------------------------------|---------|---------|
|    | A      | B                            | C       | D       |
| 1  | 20X6   |                              |         |         |
| 2  | Nov 18 | Investment in Sony Corp      | 100,000 |         |
| 3  |        | Cash                         |         | 100,000 |
| 4  |        | <i>Purchased investment.</i> |         |         |
| 5  |        |                              |         |         |

|                                |
|--------------------------------|
| <u>Investment in Sony Corp</u> |
| 100,000                        |

Assume that Vivendi receives a cash dividend of \$4,000 from Sony, on November 27. Vivendi records the dividend income as follows:

| A1 |        |                                |       |       |
|----|--------|--------------------------------|-------|-------|
|    | A      | B                              | C     | D     |
| 1  | 20X6   |                                |       |       |
| 2  | Nov 27 | Cash                           | 4,000 |       |
| 3  |        | Dividend Income                |       | 4,000 |
| 4  |        | <i>Received cash dividend.</i> |       |       |
| 5  |        |                                |       |       |

|         |   |             |   |                         |                   |
|---------|---|-------------|---|-------------------------|-------------------|
| Assets  | = | Liabilities | + | Shareholders'<br>Equity |                   |
| + 4,000 | = | 0           | + | 4,000                   | (Dividend Income) |

**Unrealized gains or losses.** Vivendi's fiscal year ends on December 31, and Vivendi prepares its financial statements. The Sony shares have risen in value, and on December 31 Vivendi's investment has a current market value of \$102,000. Market value is the amount the owner can sell the securities for. Vivendi has an *unrealized gain* on the investment:

- *Gain* because the market value (\$102,000) of the securities is greater than Vivendi's cost of the securities (\$100,000). A gain has the same effect as a revenue, i.e., it will increase equity.
- *Unrealized gain* because Vivendi has not yet sold the securities.

Trading securities are reported on the Balance Sheet at their current **fair market value**, because fair market value is the amount the investor can receive by selling the securities. Prior to preparing financial statements on December 31, Vivendi adjusts the investment in Sony securities to its current market value with this year-end journal entry:

| A1 |        |                                             |       |       |
|----|--------|---------------------------------------------|-------|-------|
|    | A      | B                                           | C     | D     |
| 1  | 20X6   |                                             |       |       |
| 2  | Dec 31 | Investment in Sony Corp                     | 2,000 |       |
| 3  |        | Unrealized Gain on Investments              |       | 2,000 |
| 4  |        | <i>Adjusted investment to market value.</i> |       |       |
| 5  |        |                                             |       |       |

| Investment in Sony Corp |  | Unrealized Gain on Investments |       |
|-------------------------|--|--------------------------------|-------|
| 100,000                 |  |                                |       |
| 2,000                   |  |                                | 2,000 |
| 102,000                 |  |                                |       |

After the adjustment, Vivendi's Short-Term Investments account is ready to be reported on the Balance Sheet—at current market value of \$102,000.

If, on the other hand, Vivendi's investment in Sony shares had decreased in value, say to \$95,000, then Vivendi would have reported an *unrealized loss*. A loss has the same effect as an expense, i.e., it reduces equity. In that case, Vivendi would have made a different entry at December 31. For an unrealized loss of \$5,000, the entry would have been as follows:

| A1 |   |                                             |       |       |
|----|---|---------------------------------------------|-------|-------|
|    | A | B                                           | C     | D     |
| 1  |   | Unrealized Loss on Investments              | 5,000 |       |
| 2  |   | Investment in Sony Corp                     |       | 5,000 |
| 3  |   | <i>Adjusted investment to market value.</i> |       |       |
| 4  |   |                                             |       |       |

| Investment in Sony Corp |       | Unrealized Loss on Investments |  |
|-------------------------|-------|--------------------------------|--|
| 100,000                 | 5,000 | 5,000                          |  |
| 95,000                  |       |                                |  |

Investments in debt and equity securities earn interest revenue and dividend income. Investments also create gains and losses.

For trading investments, these items may be reported on the Income Statement as Other revenue, gains, and (losses), as shown in Exhibit 8-5.

**Exhibit 8-5** Reporting Short-Term Investments and the Related Revenues, Gains, and Losses

| Balance Sheet              |         | Income Statement      |        |
|----------------------------|---------|-----------------------|--------|
| Current assets:.....       |         | Revenues.....         | \$ XXX |
| Cash.....                  | \$ XXX  | Expenses.....         | XXX    |
| Short-term investments, at |         | Other revenue, gains  |        |
| market value.....          | 102,000 | and (losses):         |        |
| Accounts receivable.....   | XXX     | Interest revenue..... | XXX    |
|                            |         | Dividend income.....  | 4,000  |
|                            |         | Unrealized gain on    |        |
|                            |         | investment.....       | 2,000  |
|                            |         | Net income.....       | \$ XXX |

**Realized Gains and Losses.** A *realized* gain or loss occurs only when the investor sells an investment. This gain or loss is different from the unrealized gain that we reported for Vivendi earlier:

- Realized gain = Sale price is *greater than* the investment carrying amount
- Realized loss = Sale price is *less than* the investment carrying amount

Suppose Vivendi sells its Sony shares during 20X7. Remember that we have already updated the Investment in Sony Corp account to \$102,000 on December 31, 20X6. If the sale price is \$98,000, Vivendi makes the following journal entry:

| A1 |        |                             |        |         |
|----|--------|-----------------------------|--------|---------|
|    | A      | B                           | C      | D       |
| 1  | 20X7   |                             |        |         |
| 2  | Jan 19 | Cash                        | 98,000 |         |
| 3  |        | Loss on Sale of Investments | 4,000  |         |
| 4  |        | Investment in Sony Corp     |        | 102,000 |
| 5  |        | Sold investments at a loss. |        |         |
| 6  |        |                             |        |         |

| Investment in Sony Corp |         | Loss on Sale of Investments |  |
|-------------------------|---------|-----------------------------|--|
| 100,000                 |         | 4,000                       |  |
| 2,000                   | 102,000 |                             |  |

Accountants rarely use the word “Realized” in the account title. A gain (or a loss) is understood to be a realized gain (or loss) arising from a sale transaction. Unrealized gains and losses are clearly labeled as *unrealized*. Vivendi would report Gain (or Loss) on Sale of Investments among the “Other” items of the Income Statement, as shown in Exhibit 8-5.

### Held-to-maturity

IAS 39 defines **held-to-maturity investments** as financial assets with fixed or determinable payments and fixed maturity that an entity has the positive intention and ability to hold to maturity. As shares do not have an expiry date, held-to-maturity financial assets are typically investments in bonds or other fixed income instruments (more on bonds in the next chapter). The major investors in bonds are financial institutions—pension plans, mutual funds, and insurance companies. The relationship between the issuing corporation and the investor (bondholder) may be diagrammed as follows:

| Chapter 8<br>Investor (Bondholder) | Chapter 9<br>Issuing Corporation |
|------------------------------------|----------------------------------|
| Investment in bonds                | Bonds payable                    |
| Interest revenue                   | Interest expense                 |

An investment in held-to-maturity securities is classified either as short-term or as long-term, depending on the expected maturity date. Short-term investments in bonds are relatively rare (unless having invested in the bonds for a long time, the bonds are about to mature).

Bond investments are initially recorded at cost. Years later, at maturity, the investor will receive the bonds' face value. Bond investments may be purchased at a premium or a discount (we will discuss bonds from the issuer's perspective in Chapter 9). When there is a premium or discount, held-to-maturity investments are amortized to account for interest revenue and the bonds' carrying amount. Held-to-maturity investments are reported by the *amortized cost method*, which determines the carrying amount on the investor's Balance Sheet.

Suppose Vivendi purchases €10,000 of 6% GlaxoSmithKline (GSK) bonds at a price of €95.2 on April 1, 20X5. Vivendi intends to hold the bonds as a long-term investment until their maturity. Interest payment dates are April 1 and October 1. Because these bonds mature on April 1, 20X9, they will be outstanding for four years (48 months). In this case, the investor paid a discount price for the bonds (95.2% of face value). Vivendi must amortize the bonds' carrying amount from cost of €9,520 up to €10,000 over their term to maturity. For the purpose of illustration, we can use amortization of the bonds by the "quick and dirty" straight-line method (technically, *IAS 39* requires the effective interest amortization method). The following are the entries for this long-term investment:

| A1 |       |                                                          |       |       |
|----|-------|----------------------------------------------------------|-------|-------|
|    | A     | B                                                        | C     | D     |
| 1  | 20X5  |                                                          |       |       |
| 2  | Apr 1 | Long-Term Investment in Bonds ( $€10,000 \times 0.952$ ) | 9,520 |       |
| 3  |       | Cash                                                     |       | 9,520 |
| 4  |       | To purchase bond investment.                             |       |       |
| 5  |       |                                                          |       |       |
| 6  | Oct 1 | Cash ( $€10,000 \times 0.06 \times 6/12$ )               | 300   |       |
| 7  |       | Interest Revenue                                         |       | 300   |
| 8  |       | To receive semiannual interest.                          |       |       |
| 9  |       |                                                          |       |       |
| 10 | Oct 1 | Long-Term Investment in Bonds                            | 60    |       |
| 11 |       | $[(€10,000 - €9,520)/48] \times 6$                       |       |       |
| 12 |       | Interest Revenue                                         |       | 60    |
| 13 |       | To amortize bond investment.                             |       |       |
| 14 |       |                                                          |       |       |

At December 31, Vivendi's year-end adjustments are:

| A1 |        |                                                           |     |     |
|----|--------|-----------------------------------------------------------|-----|-----|
|    | A      | B                                                         | C   | D   |
| 1  | 20X5   |                                                           |     |     |
| 2  | Dec 31 | Interest Receivable ( $€10,000 \times 0.06 \times 3/12$ ) | 150 |     |
| 3  |        | Interest Revenue                                          |     | 150 |
| 4  |        | To accrue interest revenue.                               |     |     |
| 5  |        |                                                           |     |     |
| 6  | Dec 31 | Long-Term Investment in Bonds                             | 30  |     |
| 7  |        | $[(€10,000 - €9,520)/48] \times 3$                        |     | 30  |
| 8  |        | Interest Revenue                                          |     |     |
| 9  |        | To amortize bond investment.                              |     |     |
| 10 |        |                                                           |     |     |

This amortization entry has two effects:

1. It increases the Long-Term Investment account on its march toward maturity value.
2. It records the interest revenue earned from the increase in the carrying amount of the investment.

The financial statements of Vivendi at December 31, 20X6, would report the following for this investment in bonds:

**Balance Sheet at December 31, 20X6:**

Current assets:

|                                                               |       |
|---------------------------------------------------------------|-------|
| Interest receivable.....                                      | € 150 |
| Long-term investments in bonds ( $€9,520 + €60 + €30$ ) ..... | 9,610 |
| Property, plant and equipment .....                           | X,XXX |

**Income Statement for the year ended December 31, 2010:**

Other revenues:

|                                                      |       |
|------------------------------------------------------|-------|
| Interest revenue ( $€300 + €60 + €150 + €30$ ) ..... | € 540 |
|------------------------------------------------------|-------|

## Available-for-Sale Investments

**Available-for-sale investments** are, in effect, a “catch all” category. They are non-derivative financial assets that are designated as available for sale or are not classified as (a) loans and receivables, (b) held-to-maturity investments, or (c) financial assets at fair value through profit or loss. They are classified as current assets if the business expects to sell them within the next year. All other available-for-sale investments are classified as long term.

Available-for-sale investments are accounted for at fair market value on the Balance Sheet, with any change between the fair value and carrying amount recognized as a component of other comprehensive income.

Suppose Vivendi purchases 1,000 Siemens shares at the market price of €44.00 per share. Vivendi intends to hold this investment for longer than a year and classifies it as an available-for-sale investment. Vivendi’s entry to record the investment is:

| A1 |        |                                             |        |        |
|----|--------|---------------------------------------------|--------|--------|
|    | A      | B                                           | C      | D      |
| 1  | 20X6   |                                             |        |        |
| 2  | Oct 23 | Long-Term Investment ( $1,000 \times €44$ ) | 44,000 |        |
| 3  |        | Cash                                        |        | 44,000 |
| 4  |        | Purchased investment.                       |        |        |
| 5  |        |                                             |        |        |

| Assets   | = | Liabilities | + | Shareholders' Equity |
|----------|---|-------------|---|----------------------|
| + 44,000 | = | 0           | + | 0                    |
| – 44,000 |   |             |   |                      |

Assume that Vivendi receives a €0.20 cash dividend on the Siemens shares. Vivendi’s entry to record receipt of the dividend is:

| A1 |        |                               |     |     |
|----|--------|-------------------------------|-----|-----|
|    | A      | B                             | C   | D   |
| 1  | 20X6   |                               |     |     |
| 2  | Nov 14 | Cash ( $1,000 \times €0.20$ ) | 200 |     |
| 3  |        | Dividend Income               |     | 200 |
| 4  |        | Received cash dividend.       |     |     |
| 5  |        |                               |     |     |

| Assets | = | Liabilities | + | Shareholders' Equity |                   |
|--------|---|-------------|---|----------------------|-------------------|
| +200   | = | 0           | + | +200                 | (Dividend income) |

Similar to trading securities, available-for-sale investments are reported on the Balance Sheet at their fair market values. At each reporting date, we adjust available-for-sale investments from their last carrying amount to current fair market value. Assume that the fair market value of the Siemens ordinary shares is €46,500 on December 31, 20X6. Remember that Vivendi bought these shares for €44,000 on October 23, 20X6. In this case, Vivendi makes the following entry to bring the investment to fair market value.

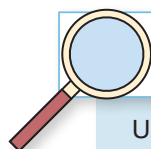
| A1 |        |                                              |       |       |
|----|--------|----------------------------------------------|-------|-------|
|    | A      | B                                            | C     | D     |
| 1  | 20X6   |                                              |       |       |
| 2  | Dec 31 | Market Value Adjustments (€46,500 – €44,000) | 2,500 |       |
| 3  |        | Unrealized Gain on Investment                |       | 2,500 |
| 4  |        | Adjusted investment to fair market value.    |       |       |
| 5  |        |                                              |       |       |

The increase in the investment's fair market value creates additional equity for the investor. Available-for-sale differs from trading securities in that the increase in equity is recognized as a component of *other comprehensive income*, net of tax, instead of being recognized in the profit or loss.

| Assets  | = | Liabilities | + | Shareholders' Equity |                                      |
|---------|---|-------------|---|----------------------|--------------------------------------|
| + 2,500 | = | 0           | + | + 2,500              | (through other comprehensive income) |

The following display shows how Vivendi could report its investment and the related unrealized gain in its financial statements at the end of 20X6 (all other figures are assumed for this illustration). Note that the unrealized gain on available-for-sale investments is reported net of tax (assumed 40%) as a component of other comprehensive income.

| Balance Sheet:                      |         | Income Statement:                       |         |
|-------------------------------------|---------|-----------------------------------------|---------|
| Assets                              |         | Revenue.....                            | €50,000 |
| Available for sale investments..... | €46,500 | Expenses.....                           | €30,000 |
|                                     |         | Net profit.....                         | €20,000 |
| Equity:                             |         | Comprehensive income:                   |         |
| Share capital.....                  | €XX,XXX | Net profit (from Income Statement)..... | €20,000 |
| Retained earnings.....              | €X,XXX  | Other comprehensive income:             |         |
| + Net profit.....                   | €20,000 | Unrealized gain on available-for-sale   |         |
| + Other comprehensive income.....   | €1,500  | investments net of 40% tax.....         | €1,500  |
|                                     |         | Total comprehensive income.....         | €21,500 |



## A Closer Look

Unrealized gains or losses on available-for-sale investments are recognized in other comprehensive income. What happens when the investment is sold? The resulting gain or loss would be shown as income in the Income Statement, but as previous unrealized gains or losses have been reported as other comprehensive income, we would be double counting total comprehensive income. To avoid this “recycling of gains or losses,” the amount of gains or losses that were previously reported as other comprehensive income must be reversed simultaneously with the recognition of the gain or loss in income. This adjustment is beyond the scope of this text.

The preceding example assumes that the investor holds an investment in only one security of another company. Usually companies invest in a portfolio of securities (more than one). In this case, the periodic adjustment to fair market value must be made for the portfolio as a whole. See the following “Stop & Think” exercise for an example.

When eventually sold, the sale of such available-for-sale investments results in a *realized* gain or loss. Realized gains and losses measure the difference between the amount received from the sale and the original cost of the investment. Suppose Vivendi sells its investment in Siemens shares for €43,000 during 20X7 (recall that Vivendi bought them for €44,000). Vivendi would record the sale as follows:

| A1 |        |                             |        |        |
|----|--------|-----------------------------|--------|--------|
|    | A      | B                           | C      | D      |
| 1  | 20X7   | Cash                        | 43,000 |        |
| 2  | May 19 | Loss on Sale of Investment  | 1,000  |        |
| 3  |        | Long-Term Investment (cost) |        | 44,000 |
| 4  |        | Sold investment.            |        |        |
| 5  |        |                             |        |        |

| Assets   | = | Liabilities | + | Shareholders' Equity |                              |
|----------|---|-------------|---|----------------------|------------------------------|
| + 43,000 | = | 0           | + | – 1,000              | (loss on sale of investment) |
| – 44,000 |   |             |   |                      |                              |

Vivendi would report €1,000 Loss on Sale of Investments on its Income Statement. Vivendi also needs to make further adjusting entries to market value adjustment accounts and prevent double counting of total comprehensive income, as previous unrealized gains and losses were included in other comprehensive income in earlier periods (e.g., the €1,500 in our example at the end of 20X7). These adjustments are covered in intermediate accounting courses.

## » Stop & Think

Suppose Vivendi holds the following available-for-sale securities as long-term investments at December 31, 20X7:

| Available for sale (Investments) | Cost            | Current Fair Market Value |
|----------------------------------|-----------------|---------------------------|
| Bayer.....                       | €85,000         | €71,000                   |
| Phillips .....                   | 16,000          | 12,000                    |
|                                  | <u>€101,000</u> | <u>€83,000</u>            |

Show how Vivendi will report long-term investments on its December 31, 20X7, Balance Sheet.

**Answer:**

| Assets                                            |         |
|---------------------------------------------------|---------|
| Long-term investments, at fair market value ..... | €83,000 |

## Summary of Financial Assets Recognition and Measurements

Exhibit 8-6 summarizes the accounting treatment for the three classifications of financial assets.

**Exhibit 8-6** | Accounting Treatment

| Financial Asset Category | Balance Sheet Measurement | Income Measurement                                  |
|--------------------------|---------------------------|-----------------------------------------------------|
| Trading securities       | Fair market value         | Changes in fair value as income                     |
| Loans and receivables    | Amortized cost            | Changes in value due to amortization                |
| Held-to-maturity         | Amortized cost            | Changes in value due to amortization                |
| Available-for-sale       | Fair market value         | Changes in fair value as other comprehensive income |

## Mid-Chapter

## Summary Problem

During the year 20X6, Win Stone Corp. made the following investments:

- Investment A: trading securities, at a cost of \$20,000 with a current fair value of \$25,000. Dividends received during the year \$1,000.
- Investment B: available-for-sale securities, at a cost of \$10,000 with a current fair value of \$12,000. Dividends received during the year \$500.
- Investment C: \$10,000 held-to-maturity securities at \$95.0, with current fair value of \$96.0. These 5% bonds (semi-annual interest payments on June 30 and December 31 each year) were purchased on July 1 and will mature in 24 months' time.

How would Win Stone Corp. report the investments on its Balance Sheet and Income Statement?

### Answer:

#### Balance Sheet

|              |          |                                                     |
|--------------|----------|-----------------------------------------------------|
| Investment A | \$25,000 | [at fair value]                                     |
| Investment B | \$12,000 | [at fair value]                                     |
| Investment C | \$9,625  | [at amortized cost, $\$9,500 + (500/24 \times 6)$ ] |

#### Income Statement

|                                      |         |                                                            |
|--------------------------------------|---------|------------------------------------------------------------|
| Dividend income                      | \$1,500 | [\$1,000 + \$500]                                          |
| Interest revenue (bond amortization) | \$375   | [(5% $\times$ 10,000 $\times$ 6/12) + (500/24 $\times$ 6)] |
| Fair value revaluation income        | \$5,000 | [\$25,000 – \$20,000]                                      |
| Other comprehensive income           | \$2,000 | [AFS at \$12,000 – \$10,000]                               |

## USE THE EQUITY METHOD FOR INVESTMENTS

When an investor owns a large portion of an investee, typically between 20% and 50%, the investor is said to have significant influence in the entity's operations. Such an investor can probably affect dividend policy, product lines, and other important matters. *IAS 28—Investment in Associates* refers to these investee entities as associates (but you may see the term “affiliates” used in practice sometimes). We use the **equity method** to account for investment in associated or affiliated entities.

Up to early January 2011, Vivendi holds equity-method investments in NBC Universal. NBC Universal runs television channels such as NBC, CNBC, and MSNBC, and produces TV hits such as *30 Rock*, *The Office*, *The Voice*, and many more. It also produces films under the banner of Universal Pictures, as well as Universal Studios theme parks around the world. As Vivendi had significant influence in shaping the policy and operations of NBC Universal, some measure of NBC Universal's profits and losses should be included in Vivendi's income. At the end of 2015, Vivendi has two primary affiliates: Telecom Italia and VEVO.

**2** Use the equity method for investments



## ADAPTED EXCERPTS FROM VIVENDI'S NOTES TO THE ACCOUNTS

### Equity Accounting

Entities over which Vivendi exercises significant influence as well as joint ventures are accounted for under the equity method.

Significant influence is presumed to exist when Vivendi holds, directly or indirectly, at least 20% of voting rights in an entity unless it can be clearly demonstrated that Vivendi does not exercise significant influence. Significant influence can be evidenced through other criteria, such as representation on the board of directors or the entity's equivalent governing body, participation in policy-making of financial and operational processes, material transactions with the entity or interchange of managerial personnel.

Source: Vivendi's 2015 Financial Statements, page 37

The equity method is a method of accounting whereby the investment is initially recognized at cost and adjusted thereafter for the post-acquisition change in the investor's share of net assets of the investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee. Let's assume Vivendi is investing €400 million into a fictional company, "YY Entertainment" in exchange for a 20% stake in the company.

Investments accounted for by the equity method are recorded initially at cost. Suppose Vivendi paid €400 million in cash for 20% of the ordinary shares of YY Entertainment. Vivendi's entry to record the purchase of this investment follows (in millions).

| A1 |       |                                       |     |     |
|----|-------|---------------------------------------|-----|-----|
|    | A     | B                                     | C   | D   |
| 1  | 20X6  |                                       |     |     |
| 2  | Jan 6 | Equity Investments in Associate       | 400 |     |
| 3  |       | Cash                                  |     | 400 |
| 4  |       | To purchase equity-method investment. |     |     |
| 5  |       |                                       |     |     |

Under the equity method, Vivendi, as the investor, applies its percentage of ownership—20%, in our example—in recording its share of the investee's net income and dividends. If YY Entertainment reports net income of €250 million for the year, Vivendi records 20% of this amount as follows (in millions):

| A1 |        |                                               |    |    |
|----|--------|-----------------------------------------------|----|----|
|    | A      | B                                             | C  | D  |
| 1  | 20X6   |                                               |    |    |
| 2  | Dec 31 | Equity Investments in Associate (€250 × 0.20) | 50 |    |
| 3  |        | Income from Associates                        |    | 50 |
| 4  |        | To record investment revenue.                 |    |    |
| 5  |        |                                               |    |    |

| Assets | = | Liabilities | + | Shareholders' Equity |                        |
|--------|---|-------------|---|----------------------|------------------------|
| + 50   | = | 0           | + | + 50                 | (equity-method income) |

Because of the close relationship between Vivendi and YY Entertainment, Vivendi (the investor) increases its investment in the associate account and records income from the associate when YY Entertainment (the investee) reports income. In other words, as YY Entertainment's own

equity increases because of its own profits, so does the investment account on Vivendi's books. This was what IAS 28 terms "the investor's share of net assets of the investee." The equity earnings that appear on the investor's Income Statement may be labeled by other terms such as "share of profits of associates." Vivendi uses the term "income from equity affiliates."

If the affiliate made a loss during the financial year, the investor would also have to share the loss of the associate as reduction in income and reduction in its net assets in investment in associates.

Vivendi also records its proportionate part of cash dividends received from YY Entertainment. When YY Entertainment declares and pays a cash dividend of €100 million, Vivendi receives 20% of this dividend and records this entry (in millions):

| A1 |        |                                                       |    |    |
|----|--------|-------------------------------------------------------|----|----|
|    | A      | B                                                     | C  | D  |
| 1  | 20X6   |                                                       |    |    |
| 2  | Dec 31 | Cash ( $€100 \times 0.20$ )                           | 20 |    |
| 3  |        | Equity Investments in Associate                       |    | 20 |
| 4  |        | To receive cash dividend on equity-method investment. |    |    |
| 5  |        |                                                       |    |    |

| Assets | = | Liabilities | + | Shareholders' Equity |
|--------|---|-------------|---|----------------------|
| + 20   | = | 0           | + | 0                    |
| - 20   |   |             |   |                      |

The Investment account is *decreased* for the receipt of a dividend on an equity-method investment. Why? Because the dividend decreases the investee's net assets and thus the investor's investment.

After the preceding entries are posted, Vivendi's Investment account at December 31, 20X6, shows Vivendi's equity in the net assets of YY Entertainment (in millions):

| Equity Investments in Associate |            |     |        |           |    |
|---------------------------------|------------|-----|--------|-----------|----|
| Jan 6                           | Purchase   | 400 | Dec 31 | Dividends | 20 |
| Dec 31                          | Net income | 50  |        |           |    |
| Dec 31                          | Balance    | 430 |        |           |    |

Vivendi would report this investment in associate on the Balance Sheet as a non-current asset and the income from associates on the Income Statement as follows:

|                                         | Millions |
|-----------------------------------------|----------|
| <b>Balance Sheet (partial):</b>         |          |
| Assets                                  |          |
| Total current assets.....               | €XXX     |
| Long-term investments, at equity .....  | 430      |
| Property, plant and equipment, net..... | XXX      |
| <b>Income Statement (partial):</b>      |          |
| Income from operations.....             | €XXX     |
| Other revenue:                          |          |
| Income from associates .....            | 50       |
| Net income.....                         | €XXX     |

Gain or loss on the sale of an equity-method investment is measured as the difference between the sale proceeds and the carrying amount of the investment. For example, Vivendi selling all of its 20% holding in YY Entertainment for €425 million would be recorded as follows:

| A1 |        |                                  |     |     |
|----|--------|----------------------------------|-----|-----|
|    | A      | B                                | C   | D   |
| 1  | 20X7   |                                  |     |     |
| 2  | Feb 13 | Cash                             | 425 |     |
| 3  |        | Loss on Sale of Investment       | 5   |     |
| 4  |        | Equity Investments in Associates |     | 430 |
| 5  |        | Sold investment in affiliate.    |     |     |
| 6  |        |                                  |     |     |

| Assets | = | Liabilities | + | Shareholders' Equity |                              |
|--------|---|-------------|---|----------------------|------------------------------|
| + 425  | = | 0           | + | - 5                  | (loss on sale of investment) |
| - 430  |   |             |   |                      |                              |

**Summary of the Equity Method.** The following T-account illustrates the accounting for equity-method investments:

| Equity-Method Investment |                    |
|--------------------------|--------------------|
| Original cost            | Share of losses    |
| Share of income          | Share of dividends |
| Balance                  |                    |

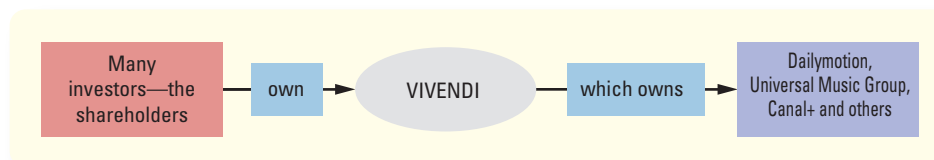
## UNDERSTAND THE CONCEPT OF CONSOLIDATED FINANCIAL STATEMENTS

### 3 Understand the concept of consolidated financial statements

Entities buy a significant stake in another company in order to *influence* the other company's operations. In this section, we cover the situation in which an investor buys enough of an investee's shares to actually *control* that company.

Most large corporations own controlling interests in other companies. A **controlling** (or **majority**) **interest** is typically indicated by the ownership of more than 50% of the investee's voting shares. The investor is called the "**parent company**," and the investee company is called the "**subsidiary**." For example, Dailymotion, Universal Music Group, and Canal+ are subsidiaries of Vivendi, the parent (see Exhibit 8-1). Therefore, the shareholders of Vivendi control Dailymotion, Universal Music Group, and Canal+ (and many others) as shown in Exhibit 8-7.

**Exhibit 8-7** | Ownership Structure of Vivendi and Key Subsidiaries



## Consolidation Accounting

*Consolidation accounting* is a method of combining the financial statements of all the companies controlled by the same shareholders. This method reports a single set of financial statements for the consolidated entity, which carries the name of the parent company, usually indicated by the word "consolidated" or "group."

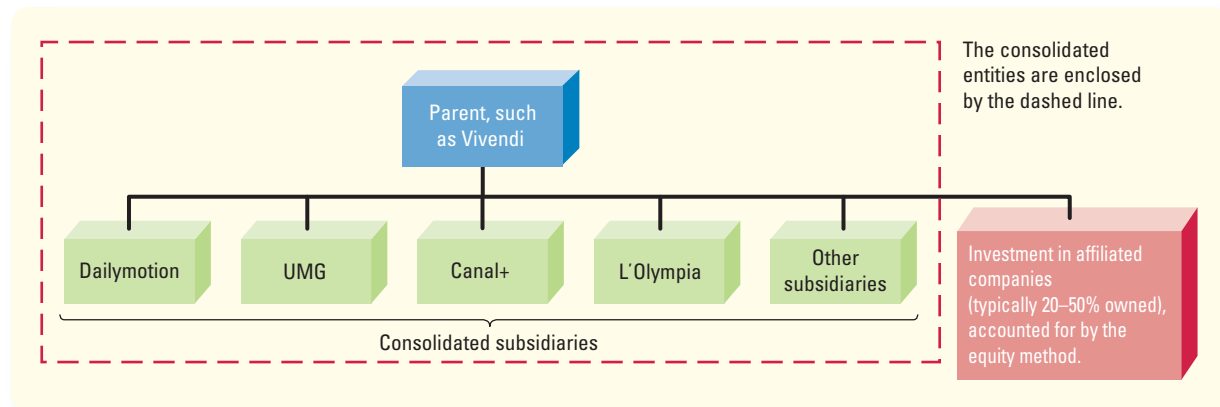
**Consolidated financial statements** combine the financial statements of the parent company with those of its subsidiaries. The result is a single set of statements as if the parent and its subsidiaries were one entity. If you own shares in Vivendi, the parent company, you want to know the total operations of the group, not just the parent company's own accounts. Consolidated financial statements are presented primarily for the benefit of shareholders, creditors, and other resource providers of the parent.

In consolidated statements, the assets, liabilities, revenues, and expenses of each subsidiary are added to the parent's accounts. For example, the Cash account balances in Dailymotion and Canal+

and all other subsidiaries are added to Vivendi's (the parent company) own Cash balance. The sum of all of the cash amounts is presented as a single amount in Vivendi's consolidated Balance Sheet. Each account balance of a subsidiary, such as UMG or Canal+, loses its identity in the consolidated statements, which bear the name of the parent, Vivendi. In turn, these subsidiaries may even be parents of other subsidiaries! For example, UMG is the parent of Capital Music Group, EMI, Republic Records, and many more. Modern business structures make very complicated family trees!

Exhibit 8-8 demonstrates a corporate structure for a parent corporation that owns controlling interests in five subsidiaries. Together, the dotted line represents the "family of companies under common control." The company may also have investments in affiliates or associates or joint operations, these are not consolidated, i.e., they are shown outside the dotted line.

**Exhibit 8-8** Parent Company with Consolidated Subsidiaries and Unconsolidated Affiliates



## The Consolidated Balance Sheet and the Related Worksheet

Vivendi owns all (100%) the outstanding shares of Universal Music Group (UMG). Both Vivendi and UMG keep their own separate sets of books. Vivendi, the parent company, uses a worksheet to prepare the consolidated statements of Vivendi and its consolidated subsidiaries. Then Vivendi's consolidated Balance Sheet shows the combined assets and liabilities of both Vivendi and all its subsidiaries. Exhibit 8-9 shows how the parent's balances are consolidated with those of the subsidiary, and the resulting consolidated Balance Sheet.

**Exhibit 8-9** Consolidation of a Wholly-Owned Subsidiary

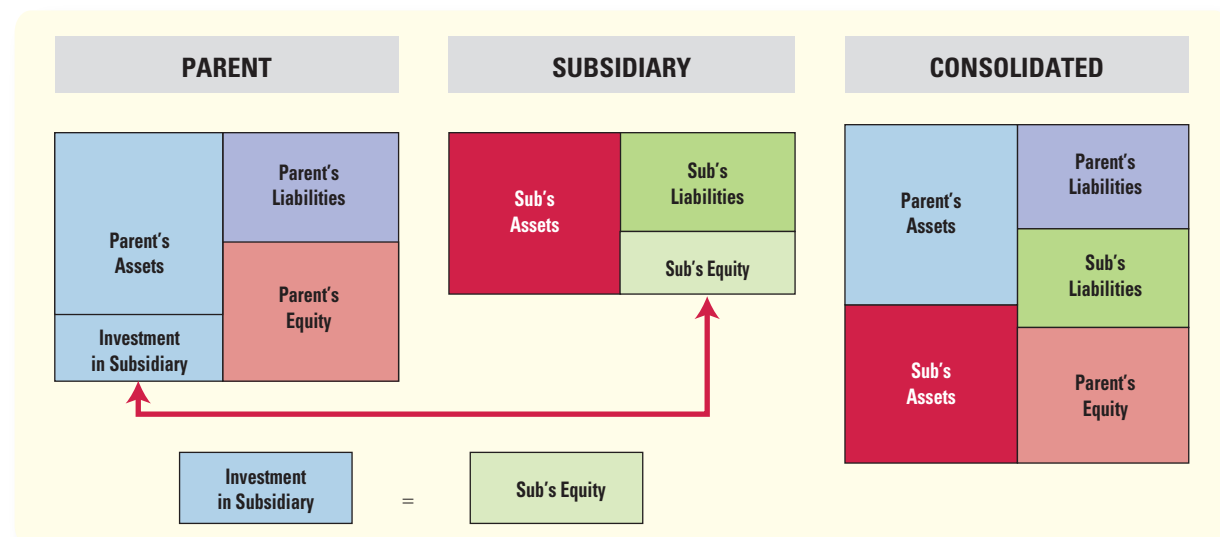


Exhibit 8-10 shows the worksheet for consolidating the Balance Sheets of Parent Corporation and Subsidiary Corporation at the date of acquisition. We use these hypothetical entities to illustrate the consolidation process. Consider elimination entry (a) for the parent-subsidiary ownership accounts. Entry (a) credits the parent's Investment account to eliminate its debit balance. Entry (a) also eliminates the subsidiary's shareholders' equity accounts by debiting the subsidiary's share capital and retained earnings for their full balances. Without this elimination, the consolidated financial statements would include both the parent company's investment in the subsidiary and the subsidiary company's equity. But these accounts represent the same thing—Subsidiary's equity—and so they must be eliminated from the consolidated totals. If they weren't, the same resources would be counted twice.

**Exhibit 8-10** Worksheet for a Consolidated Balance Sheet

| A1 |                                             |                    |                        |              |             |                                            |
|----|---------------------------------------------|--------------------|------------------------|--------------|-------------|--------------------------------------------|
|    | A                                           | B                  | C                      | D            | E           | F                                          |
|    |                                             | Parent Corporation | Subsidiary Corporation | Eliminations |             | Parent and Subsidiary Consolidated Amounts |
|    |                                             |                    |                        | Debit        | Credit      |                                            |
| 1  |                                             |                    |                        |              |             |                                            |
| 2  |                                             |                    |                        |              |             |                                            |
| 3  | <b>Assets</b>                               |                    |                        |              |             |                                            |
| 4  | Cash                                        | 12,000             | 18,000                 |              |             | 30,000                                     |
| 5  | Note receivable from Subsidiary             | 80,000             | —                      |              | (b) 80,000  | —                                          |
| 6  | Inventory                                   | 104,000            | 91,000                 |              |             | 195,000                                    |
| 7  | Investment in Subsidiary                    | 150,000            | —                      |              | (a) 150,000 | —                                          |
| 8  | Other assets                                | 218,000            | 138,000                |              |             | 356,000                                    |
| 9  | Total                                       | 564,000            | 247,000                |              |             | 581,000                                    |
| 10 | <b>Liabilities and Shareholders' Equity</b> |                    |                        |              |             |                                            |
| 11 | Accounts payable                            | 43,000             | 17,000                 |              |             | 60,000                                     |
| 12 | Notes payable                               | 190,000            | 80,000                 | (b) 80,000   |             | 190,000                                    |
| 13 | Share capital                               | 176,000            | 100,000                | (a) 100,000  |             | 176,000                                    |
| 14 | Retained earnings                           | 155,000            | 50,000                 | (a) 50,000   |             | 155,000                                    |
| 15 | Total                                       | 564,000            | 247,000                | 230,000      | 230,000     | 581,000                                    |
| 16 |                                             |                    |                        |              |             |                                            |

The resulting Parent and Subsidiary consolidated Balance Sheet (far-right column) reports no Investment in Subsidiary account. Moreover, the consolidated totals for share capital and retained earnings are those of Parent Corporation only. Study the final column of the consolidation worksheet.

In this example, Parent Corporation has an \$80,000 note receivable from Subsidiary, and Subsidiary has a note payable to Parent. The parent's receivable and the subsidiary's payable represent the same resources—all entirely within the consolidated entity. Both, therefore, must be eliminated. Entry (b) accomplishes this.

- The \$80,000 credit in the Eliminations column of the worksheet zeros out Parent's note receivable from Subsidiary.
- The \$80,000 debit in the Eliminations column zeros out the Subsidiary's note payable to Parent.
- The resulting consolidated amount for notes payable is the amount owed to creditors outside the consolidated entity, which is appropriate.

After the worksheet is complete, the consolidated amount for each account represents the total asset, liability, and equity amounts controlled by Parent Corporation.

## » Stop & Think

Examine Exhibit 8-10. Why does the consolidated shareholders' equity (\$176,000 + \$155,000) *exclude* the equity of Subsidiary Corporation?

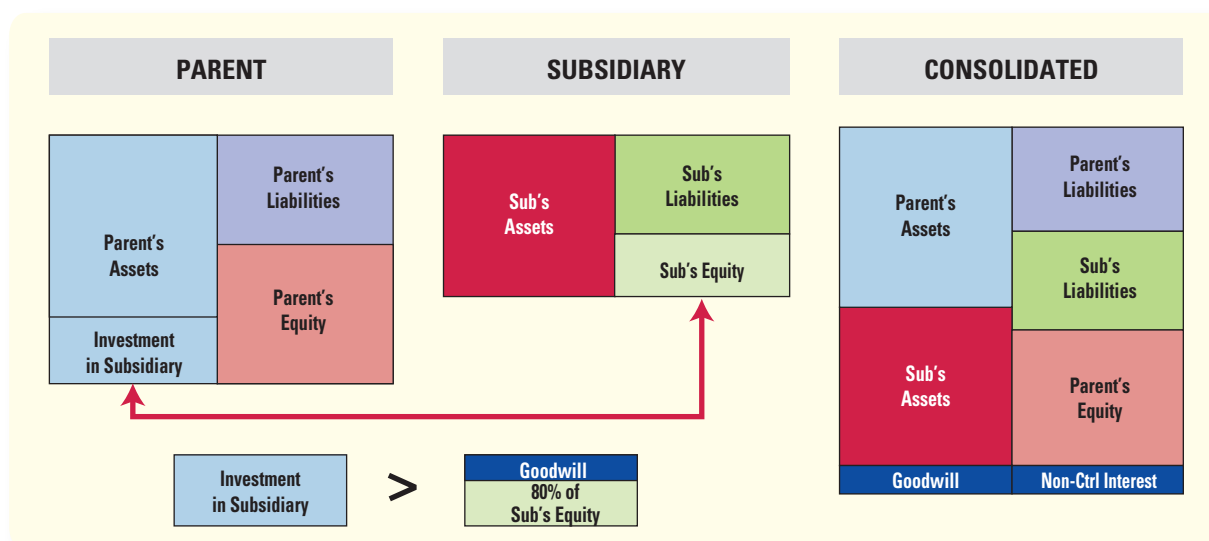
### Answer:

The shareholders' equity of the consolidated entity is that of the parent only. To include the shareholders' equity of the subsidiary as well as the investment in the subsidiary on the parent's books would be double counting.

## Goodwill and Non-Controlling Interest

Goodwill and Non-Controlling Interest are two accounts that only a consolidated entity can have. Goodwill, which we studied in Chapter 7, arises when a parent company pays more to acquire a subsidiary company than the market value of the subsidiary's net assets. Goodwill is the intangible asset that represents the parent company's excess payment over and above the fair market value of net assets of the subsidiary. Exhibit 8-11 depicts a parent company that owns 80% of a subsidiary, having paid more than its share of the subsidiary's fair value of net assets. You can trace how the assets, liabilities, and equity of the parent and subsidiary's assets and liabilities are eventually shown in the consolidated financial statement.

**Exhibit 8-11** Consolidation of a Partially-Owned Subsidiary



**Non-controlling interest** arises when a parent company owns less than 100% of the shares of a subsidiary. For example, Vivendi owns less than 100% of some of the companies it controls (such as 51% of NC+ and 64.4% of Radionomy). The remainder of the subsidiaries' shares is non-controlling interest to the Vivendi group. Non-controlling interest is reported as a separate account in the shareholders' equity section of the consolidated Balance Sheet. The amount of non-controlling interest in subsidiaries' shares must be clearly identified and labeled as such. Vivendi reports non-controlling interest (line 6) in the shareholders' equity section on its Balance Sheet as shown in Exhibit 8-12.

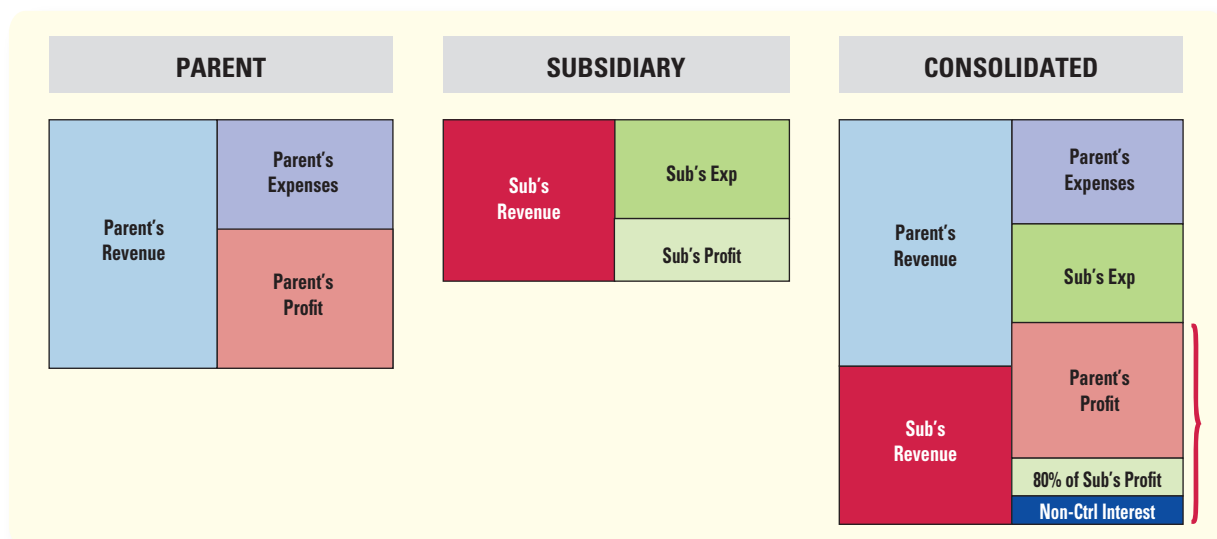
**Exhibit 8-12** Shareholders' Equity and Non-Controlling Interest

| A1 |                                                     |                          |             |
|----|-----------------------------------------------------|--------------------------|-------------|
|    | A                                                   | B                        | C           |
|    | <b>Vivendi Group<br/>Consolidated Balance Sheet</b> | <b>As at December 31</b> |             |
| 1  |                                                     |                          |             |
| 2  | <b>(Adapted, in millions of euro)</b>               | <b>2015</b>              | <b>2014</b> |
| 3  | Total assets                                        | 34,946                   | 35,738      |
| 4  | Total liabilities                                   | 13,860                   | 12,750      |
| 5  | Equity attributable to Vivendi's shareholders       | 20,854                   | 22,606      |
| 6  | Non-controlling interests                           | 232                      | 382         |
| 7  | Total equity                                        | 21,086                   | 22,988      |
| 8  | Total liabilities and equity                        | 34,946                   | 35,738      |
| 9  |                                                     |                          |             |

### Income of a Consolidated Entity

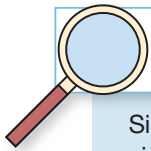
The income of a consolidated entity is the net income of the parent plus the parent's proportion of the subsidiaries' net income. If the subsidiary is 100% owned, then all the subsidiary's income belongs to the shareholders of the parent. However, if the ownership is less than 100%, part of the subsidiary's income belongs to non-controlling interests. Have a look at Exhibit 8-13 for an 80% owned subsidiary. Total revenue to the consolidated entity is the revenues of the parent plus subsidiary, and total consolidated expenses is the expenses of the parent plus subsidiary. We include 100% revenue and expenses of the subsidiary, even when we only own 80% of the subsidiary. The total profit attributable to equity holders of the parent company is the total consolidated net income (denoted by red bracket) less the 20% of income that belongs to non-controlling shareholders of the subsidiary.

Exhibit 8-14 shows how this works for Vivendi. Line 3 is the total revenues of Vivendi and all its subsidiaries, including those which are less than 100% owned. Vivendi's share of income from its equity affiliates is shown on line 6. The net profit for the consolidated entity is line 8, at €1.9 billion, of which €1.9 billion (line 9) is attributable to Vivendi shareholders, and the balance of €0.04 billion (line 10) is attributable to other shareholders of consolidated entities.

**Exhibit 8-13** Consolidation of an Income Statement

**Exhibit 8-14** Vivendi's Income Statement

| A1 |                                                   |             |             |
|----|---------------------------------------------------|-------------|-------------|
|    | A                                                 | B           | C           |
|    | <b>Vivendi Group</b>                              |             |             |
|    | <b>Consolidated Income Statement</b>              |             |             |
|    | <b>For year ended December 31</b>                 |             |             |
| 1  |                                                   |             |             |
| 2  | <b>(Adapted in millions of euro)</b>              | <b>2015</b> | <b>2014</b> |
| 3  | Revenue                                           | 10,762      | 10,089      |
| 4  | :                                                 |             |             |
| 5  | Operating profit                                  | 1,231       | 736         |
| 6  | Income (loss) from equity affiliates              | (10)        | (18)        |
| 7  | :                                                 |             |             |
| 8  | Net income                                        | 1,978       | 5,025       |
| 9  | Earning attributable to Vivendi shareowners       | 1,932       | 4,744       |
| 10 | Earning attributable to non-controlling interests | 46          | 280         |
| 11 |                                                   |             |             |



## A Closer Look

Since consolidated financial statements are presented as if the parent and all its subsidiaries are one economic entity, it makes sense that transactions between members of the group need special attention. You have seen in Exhibit 8-10 that any amounts owing to and by members of the group must be eliminated. Similarly, if one member of the consolidated entity sells goods or services to another member of the same entity, this transaction would have to be eliminated as well. For example, if Canal+ licenses some music from UMG for its video games, revenue is earned by UMG and expenses are incurred by Canal+. However, from a consolidated perspective, this transaction should not exist (you can't make money from yourself!) and will be eliminated from the consolidated Income Statement. More complicated transactions would include sale of a PPE from a subsidiary to another subsidiary. As the transaction is deemed non-existent from a consolidated perspective, numerous adjustments would have to be made on the consolidation worksheet. If you are an accounting major, you are likely to cover this topic in your advanced accounting courses.



## COOKING THE BOOKS

with Investments and Debt

### Enron Corporation

In 2000, Enron Corporation in Houston, Texas, employed approximately 22,000 people and was one of the world's leading electricity, natural gas, pulp and paper, and communications companies, with reported revenues of nearly \$101 billion. *Fortune* had named Enron "America's Most Innovative Company" for six consecutive years. To many outside observers, Enron was the model corporation.

Enron's financial statements showed that the company was making a lot of money, but in reality, most of its profits were merely on paper. Rather than from operations, the great majority of the cash Enron needed to operate on a day-to-day basis came from bank loans. It was very important, therefore, that Enron keep its debt ratio (discussed in Chapter 9) as well as its return on assets (ROA, discussed in Chapter 10) at acceptable levels, so the banks would continue to view the company as creditworthy. Enron's Balance Sheets contained large misstatements in the liabilities and shareholders' equity sections over a period of years. Many of the offsetting

misstatements were in long-term assets. Specifically, Enron owned numerous long-term investments, including power plants, water, broadband cable, and sophisticated, complex, and somewhat dubious derivative financial instruments in such unusual things as the weather! Many of these investments actually had questionable value, but Enron had abused fair market value accounting to estimate them at grossly inflated values.

To create paper profits, Andrew Fastow, Enron’s chief financial officer, created a veritable maze of “special purpose entities” (SPEs), financed with bank debt. He then “sold” the dubious investments to the SPEs to get them off Enron’s books. Enron recorded millions of dollars in “profits” from these transactions. Fastow then used Enron shares to collateralize the bank debt of the SPEs, making the transactions entirely circular. Unknown to Enron’s board of directors, Fastow or members of his own family owned most of these entities, making them related parties to Enron. Enron was, in fact, the owner of the assets, and was, in fact, obligated for the debts of the SPEs since those debts were collateralized with Enron shares. When Enron’s fraud was discovered in late 2001, the company was forced to consolidate the assets of the SPEs, as well as all of their bank debt, into its own financial statements. The end result of the restatement so depressed Enron’s debt ratio and ROA that the banks refused to loan the company any more money to operate. Enron’s energy trading business virtually dried up overnight, and it was bankrupt within 60 days. An estimated \$60 billion in shareholder value, and 22,000 jobs, were lost. Enron’s CEO, Jeffrey Skilling, its CFO, Andrew Fastow, and Board Chairman Kenneth Lay were all convicted of fraud. Skilling and Fastow both went to prison. Lay died suddenly of a heart attack before being sentenced.

Enron’s audit firm, Arthur Andersen, was accused of trying to cover up its knowledge of Enron’s practices by shredding documents. The firm was indicted by the U.S. Justice Department in March 2002. Because of the indictment, Andersen lost all of its public clients and was forced out of business. As a result, over 58,000 people lost their jobs worldwide. A U.S. Supreme Court decision in 2005 eventually led to withdrawal of the indictment, but it came much too late for the once “gold plated” CPA firm. Allegations about the quality of its work on Enron, as well as other well-publicized cases such as Waste Management and WorldCom, who were also clients, doomed Arthur Andersen.

Decision Case 1 in Chapter 9 and Decision Case 3 in Chapter 10 illustrate the financial statement impact of Enron’s fraudulent transactions.



# DECISION GUIDELINES

## ACCOUNTING METHODS FOR INVESTMENTS

These guidelines show which accounting method to use for each type of long-term investment. Vivendi has all types of investments—shares, bonds, significant interests, and controlling interests. How would Vivendi typically account for its various investments?

| Type of Long-Term Investments                                            | Accounting Method  |
|--------------------------------------------------------------------------|--------------------|
| Vivendi owns less than 20% of investee shares                            | Available-for-sale |
| Vivendi owns between 20% and 50% of investee/affiliate shares            | Equity             |
| Vivendi owns more than 50% of investee shares                            | Consolidation      |
| Vivendi owns long-term investment in bonds (held-to-maturity investment) | Amortized cost     |

## ACCOUNT FOR INTERNATIONAL OPERATIONS AND TRANSACTIONS

In this globalized world, many companies earn revenue beyond their national boundaries. Accounting for business activities across national boundaries involves foreign currencies and exchange rates. Transactions may be expressed in currencies other than the company's local currency. This is the subject of *IAS 21—The Effects of Changes in Foreign Exchange Rates*.

**4** Account for international operations and transactions

### Foreign Currencies and Exchange Rates

Most countries use their own national currency, usually denoted by their three-letter currency codes. For example, the United States uses United States Dollars (\$) or USD), South Africa uses South African Rand (ZAR), Bahrain uses Bahraini Dinar (BHD), United Arab Emirates uses Emirati Dirham (AED), Malaysia uses Malaysian Ringgit (MYR), and so forth. An exception is the European Union nations; France, Germany, Italy, Belgium, Netherlands and others use a common currency, the Euro (€ or EUR).

The price of one nation's currency can be stated in terms of another country's monetary unit. This measure of one currency against another is called the **foreign-currency exchange rate**. In Exhibit 8-15, you can see the cross rates of major currencies in the world. You can visit Bloomberg for updated exchange rates.



**Exhibit 8-15** Foreign-Currency Exchange Rates

| A1 |     |          |          |        |          |          |         |         |         |
|----|-----|----------|----------|--------|----------|----------|---------|---------|---------|
|    | A   | B        | C        | D      | E        | F        | G       | H       | I       |
| 1  |     | USD      | EUR      | JPY    | GBP      | CHF      | CAD     | AUD     | HKD     |
| 2  | USD | –        | 1.0730   | 0.0087 | 1.2576   | 1.0030   | 0.7615  | 0.7550  | 0.1289  |
| 3  | EUR | 0.9320   | –        | 0.0081 | 1.1720   | 0.9348   | 0.7097  | 0.7036  | 0.1201  |
| 4  | JPY | 114.4800 | 122.8370 | –      | 143.9700 | 114.8245 | 87.1764 | 86.4324 | 14.7554 |
| 5  | GBP | 0.7952   | 0.8532   | 0.0069 | –        | 0.7976   | 0.6055  | 0.6003  | 0.1025  |
| 6  | CHF | 0.9970   | 1.0698   | 0.0087 | 1.2538   | –        | 0.7592  | 0.7527  | 0.1285  |
| 7  | CAD | 1.3132   | 1.4091   | 0.0115 | 1.6515   | 1.3172   | –       | 0.9915  | 0.1693  |
| 8  | AUD | 1.3245   | 1.4212   | 0.0116 | 1.6657   | 1.3285   | 1.0086  | –       | 0.1707  |
| 9  | HKD | 7.7585   | 8.3249   | 0.0678 | 9.7571   | 7.7818   | 5.9081  | 5.8577  | –       |
| 10 |     |          |          |        |          |          |         |         |         |

Currency keys: USD = U.S. Dollar; EUR = Euro; JPY = Japanese Yen; GBP = British Pound; CHF = Swiss Franc; CAD = Canadian Dollar; AUD = Australian Dollar; HKD = Hong Kong Dollar; Source: Bloomberg, 27 April 2012.

For example, 1 EUR is equal to 1.0730 USD, 0.8532 GBP, and 8.3249 HKD. Inversely, looking across the second row, 1 USD is worth 0.9320 euro, 1 GBP is worth 1.1720 euro, and 1 HKD is worth 0.1201 euro. Obviously, exchange rates move all the time, so the actual rates at any time may be different from the cross rates table above. We call this conversion a *translation*. Suppose an item costs €400. To compute its cost in Australian dollars (AUD), we multiply the euro amount by the conversion rate:  $\text{EUR } 400 \times \text{AUD } 1.4212 = \text{AUD } 568.48$ .

There are a number of factors that determine foreign currency exchange rates between two currencies. You would typically study this in macroeconomics. These factors include:

- difference in inflation rates (generally, a lower inflation rate means stronger currency);
- difference in interest rates (generally, a higher domestic interest rate means stronger currency);
- current account deficits (the higher the deficit, the weaker the currency);
- public debt (the higher the debt, the weaker the currency);
- political stability (the more unstable, the weaker the currency).

Currencies are often described as “strong” or “weak.” The exchange rate of a **strong currency** is rising relative to other nations' currencies. The exchange rate of a **weak currency** is falling relative to other currencies. For example, *Bloomberg* listed the conversion rate for GBP

(£ or British Pounds) to USD at 1.0730 on January 31, 2016. If the rate rose to 1.1000 the next week, we can say that euro has strengthened against the U.S. dollar. If it dropped to 1.0000, we can say that the euro has weakened against the U.S. dollar.

## Accounting for Foreign Currency Transactions

International transactions are common. Many businesses buy and sell in currencies other than their local currency. In accounting for transactions involving foreign currencies, *IAS 21—The Effects of Changes in Foreign Exchange Rates* requires the determination of “functional currency,” which is the currency of the primary economic environment in which the business operates. In most cases, we can assume that the business’s local currency is the functional currency. All foreign currency items are then translated into the functional currency at initial recognition using transaction-date exchange rates.

Let’s illustrate foreign currency translation using Qian Hu, an ornamental fish farmer and accessories retailer, as a working example. Qian Hu sells various kinds of ornamental fish and pet accessories from its base in Singapore to over 80 countries around the world. Its sales outside Singapore are about 70% of its total revenue in 2015. Your local pet stores may be selling Qian Hu’s fish or aquarium accessories!

Let’s be a little more specific in our example. Suppose Qian Hu supplies a pet store in Europe and makes some of its sales in euros and buys some of its breeding equipment from Japan and pays for them in Japanese yen.

Consider Qian Hu’s sale of ornamental fish and aquariums to FishyTales, a pet store in Europe, on a 30-day credit term, on June 10, 20X6. The sale can be conducted in Singapore dollars (SGD) or in euros (EUR), or even in other currencies such as U.S. dollars. If FishyTales agrees to pay in SGD, Qian Hu avoids the complication of dealing in a foreign currency, and the transaction is treated the same way as sales of ornamental fish across town in Singapore. But suppose FishyTales orders EUR 1,000 worth of fish and aquariums from Qian Hu. Further suppose FishyTales would like to pay in euros and Qian Hu agrees to receive euros instead of Singapore dollars.

On initial recognition of the sale, Qian Hu would have recorded in its books sales of EUR 1,000 and a receivable of the same amount. This would be entered using transaction date exchange rates. Suppose that the exchange rate on June 10, 20X6, the day of the sale, is 1 EUR for 2.00 SGD. Qian Hu would thus record:

| A1 |        |                                  |       |       |
|----|--------|----------------------------------|-------|-------|
|    | A      | B                                | C     | D     |
| 1  | 20X6   |                                  |       |       |
| 2  | Jun 10 | Accounts Receivable—FishyTales   | 2,000 |       |
| 3  |        | Sales Revenue                    |       | 2,000 |
| 4  |        | Sale on account (€1,000 × 2.00). |       |       |
| 5  |        |                                  |       |       |

| Assets  | = | Liabilities | + | Shareholders' Equity |                 |
|---------|---|-------------|---|----------------------|-----------------|
| + 2,000 | = | 0           | + | 2,000                | (sales revenue) |

When Qian Hu receives payment of EUR 1,000 from FishyTales on July 10, 20X6, it may or may not translate to the amount recognized at initial measurement of SGD 2,000. The prevailing exchange rate on the payment date will determine how much SGD Qian Hu actually receives. If the exchange rate on July 10, 20X6, is 1 EUR for 2.10 SGD (in other words, the euro has strengthened against the Singapore dollar), Qian Hu would collect more in Singapore dollar terms. Qian Hu would collect SGD 2,100 (EUR 1,000 × 2.10), resulting in a “translation gain” of SGD 100.

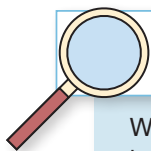
| A1 |        |                                        |       |       |
|----|--------|----------------------------------------|-------|-------|
|    | A      | B                                      | C     | D     |
| 1  | 20X6   |                                        |       |       |
| 2  | Jul 10 | Cash                                   | 2,100 |       |
| 3  |        | Accounts Receivables—FishyTales        |       | 2,000 |
| 4  |        | Translation Gain                       |       | 100   |
| 5  |        | Collection of account (€1,000 × 2.10). |       |       |
| 6  |        |                                        |       |       |

| Assets  | = | Liabilities | + | Shareholders' Equity |                    |
|---------|---|-------------|---|----------------------|--------------------|
| + 2,100 | = | 0           | + | 100                  | (translation gain) |
| – 2,000 |   |             |   |                      |                    |

Conversely, had the euro weakened against the Singapore dollar, Qian Hu would have recognized a translation loss. Suppose the exchange rate on July 10 was 1 EUR = 1.95 SGD instead of 2.10 SGD. The EUR 1,000 payment from FishyTales would translate to SGD 1,950 in settlement of an account receivable of SGD 2,000. Qian Hu would process this journal entry instead:

| A1 |        |                                        |       |       |
|----|--------|----------------------------------------|-------|-------|
|    | A      | B                                      | C     | D     |
| 1  | 20X6   |                                        |       |       |
| 2  | Jul 10 | Cash                                   | 1,950 |       |
| 3  |        | Translation Loss                       | 50    |       |
| 4  |        | Accounts Receivables—FishyTales        |       | 2,000 |
| 5  |        | Collection of account (€1,000 × 1.95). |       |       |
| 6  |        |                                        |       |       |

| Assets  | = | Liabilities | + | Shareholders' Equity |                    |
|---------|---|-------------|---|----------------------|--------------------|
| + 1,950 | = | 0           | + | – 50                 | (translation loss) |
| – 2,000 |   |             |   |                      |                    |



## A Closer Look

What if Qian Hu's financial year-end was June 30, 20X6? How should the transaction be reported on the financial statements?

Subsequent to initial measurement, *IAS 21* requires entities to distinguish between “monetary” and “non-monetary” items. The key distinction between the two categories is whether or not there is a right to receive (or obligation to deliver) a fixed or determinable number of units of currency. For example, FishyTales receivable is a monetary item because it is deliverable in the fixed amount of EUR 1,000. At the end of each reporting period, *IAS 21* requires monetary assets to be retranslated using the closing rate. Non-monetary assets carried

at historical costs continue to be measured using historical transaction date exchange rates.

If Qian Hu's financial year-end were June 30, 20X6, it would be required to re-measure the FishyTale receivables using the closing exchange rate on June 30, 20X6. Any gains (or losses) on the Balance Sheet date are recognized in the Income Statement.

## Reporting Gains and Losses on the Income Statement

The Foreign-Currency Translation Gain/Loss account holds gains and losses on transactions settled in foreign currencies. The net amount of the gains and losses are reported on the Income Statement as Other Revenues and Gains, or Other Expenses and Losses, as the case may be. For example, Qian Hu may report the net impact of its translation gains and losses as follows:

|                                              |         |
|----------------------------------------------|---------|
| Other Expenses and Losses:                   |         |
| Foreign-currency translation loss, net ..... | \$2,600 |

## Should We Hedge Our Foreign-Currency Transaction Risk?

One way for companies to avoid foreign-currency transaction losses is to insist that international transactions be settled in the local currency. This requirement puts the burden of currency translation on the foreign party. But this approach may not always work and may even alienate customers and decrease sales. Another way for a company to protect itself is by hedging. **Hedging** means to protect oneself from losing money in one transaction by engaging in a counter-balancing transaction.

A company selling goods to be collected in a foreign currency expects to receive a fixed number of foreign currency units. If the foreign currency weakens, the company would receive the agreed-upon amounts in foreign currency units, but this would translate to a lower local currency, resulting in a foreign currency translation loss.

A company may have accumulated a number of receivables and payables expressed in foreign currencies. Losses on one currency may be offset by gains on another. Most companies do not have equal amounts of receivables and payables in foreign currency. To obtain a more precise hedge, companies can buy futures contracts. These are contracts for foreign currencies to be received in the future. Futures contracts can create a payable to exactly offset a receivable, and vice versa. Many companies that do business internationally use hedging techniques to minimize their foreign currency exposure.

## Consolidation of Foreign Subsidiaries

Besides entering into foreign activities directly, an entity may also operate through a "foreign operation." *IAS 21* defines foreign operation as an entity that is a subsidiary, associate, joint venture, or branch of a reporting entity, the activities of which are based or conducted in a country or currency other than those of the reporting entity. Let's look at a simple example on how you would consolidate foreign subsidiaries.

A company with a foreign subsidiary must consolidate the subsidiary's financial statements into its own statements for reporting to the public. The consolidation of a foreign subsidiary poses two special challenges:

1. Some foreign countries may require accounting treatments that differ from the reporting entity's accounting principles. For example, the foreign subsidiary's financial statements might be prepared in accordance with US GAAP, whereas the parent's accounts

are prepared using international financial reporting standards (IFRS). For reporting purposes, if those differences are material, the subsidiary's statements must be adjusted to conform to the parent's accounting policies.

2. The subsidiary's statements may be expressed in a foreign currency different from the parent's currency. We are making an assumption in our discussion here that the parent's functional currency is the parent's local currency. First, we must translate the subsidiary's statements into the parent's currency. Then the two companies' financial statements can be consolidated as illustrated in Exhibit 8-8.

The process of translating a foreign subsidiary's financial statements into the parent's currency usually creates a *foreign-currency translation adjustment*. This item appears in the financial statements of most multinational companies and is reported as part of other comprehensive income on the Income Statement and as part of shareholders' equity on the consolidated Balance Sheet.

A translation adjustment arises due to changes in the foreign exchange rate over time. In general, the foreign operation's:

- monetary *assets* and *liabilities* are translated into the parent's currency at the current exchange rate on the date of the statements;
- non-monetary assets and liabilities carried at historical cost (such as PPE) continue to be measured using the historical transaction-date exchange rates;
- *shareholders' equity* is translated into the parent's currency at older, historical exchange rates. Paid-in capital accounts are translated at the historical exchange rate when the subsidiary was acquired. Retained earnings is translated at the average exchange rates applicable over the period that interest in the subsidiary has been held.

This difference in exchange rates creates an out-of-balance condition on the Balance Sheet. The translation adjustment brings the Balance Sheet back into balance. Let's see how the translation adjustment works.

Suppose Vivendi has an American subsidiary whose financial statements are expressed in U.S. dollars. Vivendi must consolidate the U.S. subsidiary's financials into its own statements. When Vivendi acquired the American company in 20X5, the applicable exchange rate was 1 USD = 0.70 EUR (or 1 EUR = 1.42 USD). When the American firm earned its retained income during 20X5–20X8, the average exchange rate was 1 USD = 0.65 EUR. On the Balance Sheet date in 20X8, 1 USD = 0.60 EUR. Exhibit 8-16 shows how to translate the American company's Balance Sheet into euros.

The **foreign-currency translation adjustment** is the balancing amount that brings the dollar amount of liabilities and equity of a foreign subsidiary into agreement with the dollar amount of total assets (in Exhibit 8-16, total assets equal €540,000). Only after the translation adjustment of €40,000 do total liabilities and equity equal total assets stated in euros.

**Exhibit 8-16** Translation of a Foreign-Currency Balance Sheet in Euros

| A1 |                                         |         |               |         |
|----|-----------------------------------------|---------|---------------|---------|
|    | A                                       | B       | C             | D       |
| 1  | Balance Sheet Dec 31, 20X8              | Dollars | Exchange Rate | Euros   |
| 2  | Assets*                                 | 800,000 | 0.60          | 540,000 |
| 3  |                                         |         |               |         |
| 4  | Liabilities*                            | 500,000 | 0.60          | 300,000 |
| 5  | Shareholders' equity                    |         |               |         |
| 6  | Share capital                           | 100,000 | 0.70          | 70,000  |
| 7  | Retained earnings                       | 200,000 | 0.65          | 130,000 |
| 8  | Accumulated other comprehensive income: |         |               |         |
| 9  | Foreign-currency translation adjustment |         |               | 40,000  |
| 10 |                                         | 800,000 |               | 540,000 |
| 11 |                                         |         |               |         |

\*Assume all monetary assets and liabilities.

What caused the translation adjustment? The euro has strengthened after the acquisition of the U.S. company.

- When Vivendi acquired the foreign subsidiary in 20X6, 1 USD was worth 0.70 EUR (or expressed the other way, 1 EUR was worth USD 1.43).
- When the U.S. company earned its income during 20X6 through 20X8, the average exchange rate was 0.65.
- On the Balance Sheet date in 20X8, 1 USD is worth only €0.60.
- Thus, the U.S. company's equity (assets minus liabilities) is translated into only €240,000 (€540,000 – €300,000).
- To bring shareholders' equity to €240,000 requires a €40,000 adjustment.

In a sense, a translation adjustment is like a profit, reported as an item in the shareholders' equity section of the Balance Sheet, as in Exhibit 8-14. Similarly, had the currency moved the other way, a negative translation adjustment would have resulted, similar to a loss that is reported in the equity section of the Balance Sheet. The U.S. firm's euro figures in Exhibit 8-14 are what Vivendi would include in its consolidated Balance Sheet. The consolidation procedures would follow those illustrated earlier in the chapter.

## Impact of Investing Activities on the Statement of Cash Flows

Investing activities include many types of transactions. In Chapter 7, we covered the purchase and sale of long-term assets such as Property, Plant and Equipment (PPE). In this chapter, we examined investments in financial assets, including shares and bonds. The “cash flows from investing activities” section of the Statement of Cash Flows captures the cash movements for these activities. For example, you can see from Exhibit 8-17 that Vivendi has been busy selling and buying companies in the last two years!

### CASH FLOW

**Exhibit 8-17** | Vivendi's Statement of Cash Flows

| A1 |                                                                       |             |             |
|----|-----------------------------------------------------------------------|-------------|-------------|
|    | A                                                                     | B           | C           |
|    | <b>Vivendi Group</b>                                                  |             |             |
|    | <b>Consolidated Statement of Cash Flows</b>                           |             |             |
|    | <b>For year ended December 31</b>                                     |             |             |
| 1  |                                                                       |             |             |
| 2  | <b>(Adapted, in millions of €)</b>                                    | <b>2015</b> | <b>2014</b> |
| 3  | Cash flows from operating activities                                  | € 240       | € 3,593     |
| 4  | Cash flows from investing activities                                  |             |             |
| 5  | Purchase of consolidated companies, after acquired cash               | (359)       | (100)       |
| 6  | Investments in equity affiliates                                      | (19)        | (87)        |
| 7  | Proceeds from disposal of consolidated companies, after divested cash | 4,032       | 16,929      |
| 8  | Disposal of equity affiliates                                         | 268         | —           |
| 9  | Dividends received from equity affiliates                             | 5           | 4           |
| 10 | Other cash flows from investing activities                            | 665         | (2,454)     |
| 11 | Cash flows from investing activities                                  | 4,592       | 14,292      |
| 12 | Cash flows from financing activities                                  | (3,495)     | (11,884)    |
| 13 | Net cash flows (excluding foreign exchange rate changes)              | € 1,337     | € 6,001     |
| 14 |                                                                       |             |             |

## EVALUATE A COMPANY'S OVERALL PERFORMANCE

**5 Evaluate** a company's overall performance

You may have heard of the term “return on investment.” It is a generic way to measure how much you get out of something. For example, if you bought one Vivendi share at €12 and sold it a year later at €15, then you would have made a return of €3 over an investment of €12, or a 25% return

on your investment. If you had received dividends during your holding period, your return would be higher.

It is, however, much harder to measure the total returns on all the investments that a company makes. Remember, a company may choose to invest in inventory, equipment, held-to-maturity bonds, and varying degrees of share investments, from trading securities to affiliates and subsidiaries. It may choose to spend its resources through an international expansion, or by venturing into completely different industries. Whatever form of returns the company generates, eventually, they will all be reflected on its bottom line as net profit. Thus, in measuring the profitability of a company's investments, we should look at how much net profit a company generates from its total revenue. This ratio is called the **net profit margin**.

Net profit margin is calculated as a percentage of net profit over the company's revenues. Vivendi, as a group, with all its investments and international operations, made a total of €1,978 million from total revenue of €10,762. Vivendi's net profit margin is thus:

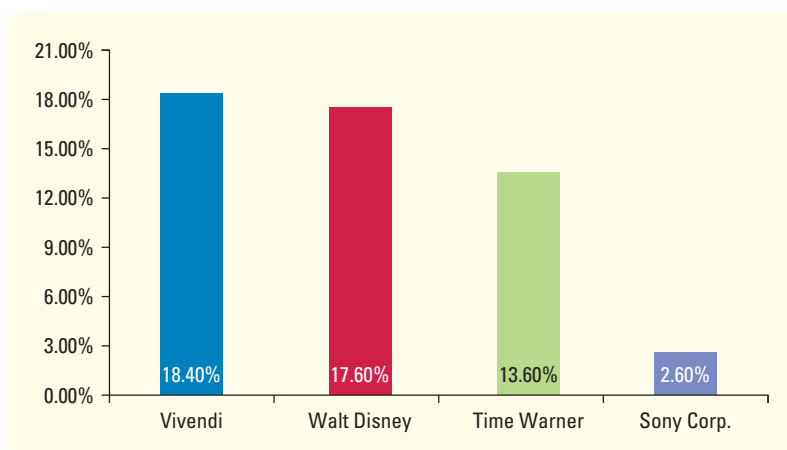
| Net Profit Margin                          | Vivendi 2015                    | Vivendi 2014                    |
|--------------------------------------------|---------------------------------|---------------------------------|
| $\frac{\text{Net profit}}{\text{Revenue}}$ | $\frac{1,978}{10,762} = 18.4\%$ | $\frac{5,025}{10,089} = 49.8\%$ |

Now obviously, the 2014 net profit margin should be jumping up and down for attention. How can it be so high compared to 2015? In 2014 and 2015, Vivendi sold its stakes in a number of telecommunication companies and entered into a number of mergers and acquisitions. This means a number of companies were deconsolidated or consolidated for the first time in the last two years. This resulted in a much higher net income in 2014. Clearly, the 2014 net income is not out of the ordinary. You will find that when a company has significant change in the scope of consolidation, it reduces comparability from one period to another.

Let's focus on Vivendi's 2015 net profit margin. How does the 18.4% net profit margin compare to its competitors? Well, for a company as diversified as Vivendi, it will be very difficult to find an exact competitor or an exact benchmark. We can look at other diversified media and entertainment companies such as The Walt Disney Company, Time Warner Incorporated, and Sony Corporation (Exhibit 8-18). It looks like Vivendi is well placed amongst these companies!



**Exhibit 8-18** Net Profit Margin Comparisons



- Investor paid \$67,900 to acquire a 40% equity-method investment in the share capital of Investee. At the end of the first year, Investee's net income was \$80,000, and Investee declared and paid cash dividends of \$55,000. What is Investor's ending balance in its Equity-Method Investment account? Use a T-account to answer.
- Parent Company paid \$85,000 for all the shares of Subsidiary Company, and Parent owes Subsidiary \$20,000 on a note payable. Complete the consolidation worksheet below.

| A1 |                                      |                |                    |              |        |                      |
|----|--------------------------------------|----------------|--------------------|--------------|--------|----------------------|
|    | A                                    | B              | C                  | D            | E      | F                    |
| 1  |                                      | Parent Company | Subsidiary Company | Eliminations |        | Consolidated Amounts |
|    |                                      |                |                    | Debit        | Credit |                      |
| 2  | Assets                               |                |                    |              |        |                      |
| 3  | Cash                                 | 7,000          | 4,000              |              |        |                      |
| 4  | Note receivable from Parent          | —              | 20,000             |              |        |                      |
| 5  | Investment in Subsidiary             | 85,000         | —                  |              |        |                      |
| 6  | Other assets                         | 108,000        | 99,000             |              |        |                      |
| 7  | Total                                | 200,000        | 123,000            |              |        |                      |
| 8  | Liabilities and Shareholders' Equity |                |                    |              |        |                      |
| 9  | Accounts payable                     | 15,000         | 8,000              |              |        |                      |
| 10 | Notes payable                        | 20,000         | 30,000             |              |        |                      |
| 11 | Share capital                        | 120,000        | 60,000             |              |        |                      |
| 12 | Retained earnings                    | 45,000         | 25,000             |              |        |                      |
| 13 | Total                                | 200,000        | 123,000            |              |        |                      |
|    |                                      |                |                    |              |        |                      |

- Translate the Balance Sheet of the Brazilian subsidiary of Unilever, a European company, into euros. When Unilever acquired this subsidiary, the exchange rate of the Brazilian currency BRL (the real), was €0.40. The average exchange rate applicable to retained earnings is €0.41. The real's current exchange rate is €0.43.

Before performing the translation, predict whether the translation adjustment will be positive or negative. Does this situation generate a foreign-currency translation gain or loss? Give your reasons.

|                        | Reals          |
|------------------------|----------------|
| Assets .....           | <u>900,000</u> |
| Liabilities .....      | 600,000        |
| Shareholders' equity:  |                |
| Share capital.....     | 30,000         |
| Retained earnings..... | <u>270,000</u> |
|                        | <u>900,000</u> |

## Answers

1.

| Equity-Method Investment |         |           |          |
|--------------------------|---------|-----------|----------|
| Cost                     | 67,900  | Dividends | 22,000** |
| Income                   | 32,000* |           |          |
| Balance                  | 77,900  |           |          |

\*\$80,000 × 0.40 = \$32,000

\*\*\$55,000 × 0.40 = \$22,000

## 2. Consolidation worksheet:

| A1 |                                             |                |                    |              |         |                      |
|----|---------------------------------------------|----------------|--------------------|--------------|---------|----------------------|
|    | A                                           | B              | C                  | D            | E       | F                    |
| 1  |                                             | Parent Company | Subsidiary Company | Eliminations |         | Consolidated Amounts |
|    |                                             |                |                    | Debit        | Credit  |                      |
|    | <b>Assets</b>                               |                |                    |              |         |                      |
| 2  | Cash                                        | 7,000          | 4,000              |              |         | 11,000               |
| 3  | Note receivable from Parent                 | —              | 20,000             |              | 20,000  | —                    |
| 4  | Investment in Subsidiary                    | 85,000         | —                  |              | 85,000  | —                    |
| 5  | Other assets                                | 108,000        | 99,000             |              |         | 207,000              |
| 6  | Total                                       | 200,000        | 123,000            |              |         | 218,000              |
| 7  | <b>Liabilities and Shareholders' Equity</b> |                |                    |              |         |                      |
| 8  | Accounts payable                            | 15,000         | 8,000              |              |         | 23,000               |
| 9  | Notes payable                               | 20,000         | 30,000             | (a) 20,000   |         | 30,000               |
| 10 | Share capital                               | 120,000        | 60,000             | (b) 60,000   |         | 120,000              |
| 11 | Retained earnings                           | 45,000         | 25,000             | (b) 25,000   |         | 45,000               |
| 12 | Total                                       | 200,000        | 123,000            | 105,000      | 105,000 | 218,000              |
| 13 |                                             |                |                    |              |         |                      |

## 3. Translation of foreign-currency Balance Sheet:

This situation will generate a *positive* translation adjustment, which is like a gain. The gain occurs because the real's current exchange rate, which is used to translate net assets (assets minus liabilities), exceeds the historical exchange rates used for shareholders' equity.

The calculation follows.

|                                               | Reals   | Exchange Rate | Euros   |
|-----------------------------------------------|---------|---------------|---------|
| Assets .....                                  | 900,000 | 0.43          | 387,000 |
| Liabilities .....                             | 600,000 | 0.43          | 258,000 |
| Shareholders' equity:                         |         |               |         |
| Share capital.....                            | 30,000  | 0.40          | 12,000  |
| Retained earnings.....                        | 270,000 | 0.41          | 110,700 |
| Accumulated other comprehensive income:       |         |               |         |
| Foreign-currency translation adjustment ..... | —       |               | 6,300   |
|                                               | 900,000 |               | 387,000 |

## REVIEW | Investments and International Operations

### Quick Check (Answers are given at the end of the chapter.)

- SABIC (Saudi Arabia Basic Industries Company) invests in 100,000 Apple Inc.'s shares. SABIC expects to hold these shares for a medium term and not trade actively. How should SABIC classify this investment?
  - Equity
  - Available-for-sale
  - Trading
  - Consolidation

2. Jacques Corporation purchased an available-for-sale investment in 1,600 shares of Home Central for \$25 per share. On the next Balance-Sheet date, Home Central shares are quoted at \$28 per share. Jacques' *Balance Sheet* should report
  - a. a realized gain of \$4,800.
  - b. investments of \$44,800.
  - c. an unrealized loss of \$4,800.
  - d. investments of \$40,000.
3. Use the Jacques Corporation data in question 2. Assume a tax rate of 20%. Jacques' should report
  - a. an unrealized loss of \$4,800 on the Income Statement.
  - b. a realized gain of \$4,800 in other comprehensive income.
  - c. an unrealized gain of \$4,800 in other comprehensive income.
  - d. an unrealized gain of \$3,840 in other comprehensive income.
4. Use the Jacques Corporation data in question 2. Jacques sold the Home Central shares for \$45,000 two years later. Jacques' *Income Statement* should report
  - a. investments of \$45,000.
  - b. an unrealized gain of \$4,800.
  - c. a gain on sale of \$4,800.
  - d. a gain on sale of \$5,000.
5. Peter Moving & Storage Co. paid \$200,000 for 30% of the ordinary shares of McDonough Co. McDonough earned net income of \$50,000 and paid dividends of \$20,000. The carrying value of Peter's investment in McDonough is
  - a. \$200,000.
  - b. \$250,000.
  - c. \$220,000.
  - d. \$209,000.
6. Stone, Inc., owns 70% of Granite Corporation, and Granite owns 70% of Pebble Company. During 20X6, these companies' net incomes are as follows before any intercorporate income-related consolidations:
 

|                   |                    |
|-------------------|--------------------|
| ■ Stone \$240,000 | ■ Granite \$64,000 |
| ■ Pebble \$56,000 |                    |

 How much net income should Stone report for 20X6?
  - a. \$324,000
  - b. \$240,000
  - c. \$312,240
  - d. \$360,000
7. Riddleston, Inc., holds an investment in Daley bonds that pay interest each October 31. Riddleston's *Balance Sheet* at December 31 should report
  - a. interest payable.
  - b. interest receivable.
  - c. interest expense.
  - d. interest revenue.
8. You are taking a vacation to Italy, and you buy euros for LC 1.80. LC is your local currency. On your return you cash in your unused euros for LC 1.20. During your vacation
  - a. your local currency rose against the euro.
  - b. the euro gained value against your local currency.
  - c. the euro rose against your local currency.
  - d. your local currency lost value.
9. Bahrain Development Corporation purchased earth-moving equipment from a Canadian company. The cost was \$1,800,000 Canadian (CAD), and the Canadian dollar was quoted at 1 CAD = BHD 0.40. A month later, the corporation paid its debt, and the Canadian dollar was quoted at BHD 0.42. What should the corporation record as the cost of the equipment?
  - a. BHD 720,000
  - b. BHD 756,000
  - c. BHD 4,285,714
  - d. BHD 4,500,000
10. Insight, a company headquartered in Hong Kong, owns numerous foreign subsidiary companies. When Insight consolidates its subsidiaries, Insight should translate the subsidiary's monetary assets into Hong Kong dollars at the
  - a. average exchange rate during the period Insight owned the British subsidiary.
  - b. current exchange rate.
  - c. historical exchange rate when Insight purchased the British company.
  - d. none of the above. There's no need to translate the subsidiary's assets into dollars.

## Accounting Vocabulary

**available-for-sale investments** (p. 460) All other financial asset investments not classified as loans and receivables, held-to-maturity, or trading securities.

**consolidated statements** (p. 466) Financial statements of the parent company plus those of majority-owned subsidiaries as if the combination were a single legal entity.

**controlling (majority) interest** (p. 466) Ownership of more than 50% of an investee company's voting shares.

**equity method** (p. 463) The method used to account for investments in which the investor has 20–50% of the investee's voting shares and can significantly influence the decisions of the investee.

**fair market value** (p. 457) The amount that a seller would receive on the sale of an investment to a willing purchaser on a given date. Securities and available-for-sale securities are valued at fair market values on the Balance Sheet date. Other assets may be recorded at fair market value.

**financial asset** (p. 451) An asset that arises because of contractual rights to receive items of value, for example, cash, receivables, etc., and similar rights.

**foreign-currency exchange rate** (p. 473) The measure of one country's currency against another country's currency.

**foreign-currency translation adjustment** (p. 477) The balancing figure that brings the dollar amount of the total liabilities and shareholders' equity of the foreign subsidiary into agreement with the dollar amount of its total assets.

**hedging** (p. 476) To protect oneself from losing money in one transaction by engaging in a counterbalancing transaction.

**held-to-maturity investments** (p. 458) Bonds and notes that an investor intends to hold until maturity.

**long-term investment** (p. 452) Any investment that does not meet the criteria of a short-term investment; any investment that the investor expects to hold longer than a year or that is not readily marketable.

**net profit margin** (p. 479) The amount of net profit earned from each currency unit of sale. Also called *return on sales*.

**non-controlling interest** (p. 469) A subsidiary company's equity that is held by shareholders other than the parent company (i.e., less than 50%).

**parent company** (p. 466) An investor company that owns more than 50% of the voting shares of a subsidiary company.

**short-term investment** (p. 452) An investment that a company plans to hold for 1 year or less. Usually in the form of marketable securities.

**strong currency** (p. 473) A currency whose exchange rate is rising relative to other nations' currencies.

**subsidiary** (p. 466) An investee company in which a parent company owns more than 50% of the voting shares.

**trading securities** (p. 455) Investments in financial assets that are primarily for the purpose of trading, with the intent of generating profits on the sale. Also called fair value investments through profit or loss.

**weak currency** (p. 473) A currency whose exchange rate is falling relative to that of other nations.

## ASSESS YOUR PROGRESS

### Short Exercises

**S8-1. (Learning Objective 1: Accounting for an available-for-sale investment; recording unrealized gain or loss)** Ship Ahoy completed these long-term available-for-sale investment transactions during 20X6:

LO 1

| 20X6   |                                                                                                                          |
|--------|--------------------------------------------------------------------------------------------------------------------------|
| Apr 10 | Purchased 400 Naradon shares, paying \$23 per share. Ship Ahoy intends to hold the investment for the indefinite future. |
| Jul 22 | Received a cash dividend of \$1.25 per share on the Naradon investment.                                                  |
| Dec 31 | Adjusted the Naradon investment to its current market value of \$5,200.                                                  |

1. Journalize Ship Ahoy's investment transactions. Explanations are not required.
2. Show how to report the investment and any unrealized gain or loss on Ship Ahoy's Balance Sheet at December 31, 20X6. Ignore income tax.

L0 1

**S8-2. (Learning Objective 1: Accounting for the sale of an available-for-sale investment)** Use the data given in Short Exercise 8-1. On May 21, 20X7, Ship Ahoy sold its investment in Naradon for \$28 per share.

1. Journalize the sale. No explanation is required.
2. How does the gain or loss that you recorded here differ from the gain or loss that was recorded at December 31, 20X6?

L0 1

**S8-3. (Learning Objective 1: Working with a bond investment)** Hector Kane (HK) owns vast amounts of corporate bonds. Suppose HK buys \$1,100,000 of Tetrax bonds at a price of 104. The Tetrax bonds pay cash interest at the annual rate of 6% and mature at the end of five years.

1. How much did HK pay to purchase the bond investment? How much will HK collect when the bond investment matures?
2. How much cash interest will HK receive each year from Tetrax?
3. Will HK's annual interest revenue on the bond investment be more or less than the amount of cash interest received each year? Give your reason.
4. Compute HK's annual interest revenue on this bond investment. Use the straight-line method to amortize the investment.

L0 1

**S8-4. (Learning Objective 1: Recording bond investment transactions)** Return to Short Exercise 8-3, the Hector Kane (HK) investment in Tetrax bonds. Journalize on HK's books:

- a. Purchase of the bond investment on June 30, 20X0. HK expects to hold the investment to maturity.
- b. Receipt of semi-annual cash interest on December 31, 20X0.
- c. Amortization of the bonds on December 31, 20X0. Use the straight-line method.
- d. Collection of the investment's face value at the maturity date on June 30, 20X5. (Assume the receipt of 20X5 interest and the amortization of bonds for 20X5 have already been recorded, so ignore these entries.)

L0 2

**S8-5. (Learning Objective 2: Accounting for a 40% investment in another company)** Suppose on February 1, 20X6, Fam Motors paid \$400 million for a 40% investment in Yoba Motors. Assume Yoba earned net income of \$50 million and paid cash dividends of \$35 million during 20X6.

1. What method should Fam Motors use to account for the investment in Yoba? Give your reason.
2. Journalize these three transactions on the books of Fam Motors. Show all amounts in millions of dollars and include an explanation for each entry.
3. Post to the Long-Term Investment T-account. What is its balance after all the transactions are posted?

L0 2

**S8-6. (Learning Objective 2: Accounting for the sale of an equity-method investment)** Use the data given in Short Exercise 8-5. Assume that in November 20X7, Fam Motors sold half its investment in Yoba Motors. The sale price was \$145 million. Compute Fam Motors' gain or loss on the sale.

L0 3

**S8-7. (Learning Objective 3: Understanding consolidated financial statements)** Answer these questions about consolidation accounting:

1. Define "parent company." Define "subsidiary company."
2. How do consolidated financial statements differ from the financial statements of a single company?
3. Which company's name appears on the consolidated financial statements? How much of the subsidiary's shares must the parent own before reporting consolidated statements?

L0 3

**S8-8. (Learning Objective 3: Understanding goodwill and non-controlling interest)** Two accounts that arise from consolidation accounting are goodwill and non-controlling interest.

1. What is goodwill, and how does it arise? Which company reports goodwill, the parent or the subsidiary? Where is goodwill reported?
2. What is non-controlling interest, and which company reports it, the parent or the subsidiary? Where is non-controlling interest reported?

**S8-9. (Learning Objective 4: Accounting for transactions stated in a foreign currency)** Suppose Poke sells soft drink syrup to a Russian company on September 12. Poke agrees to accept 500,000 Russian rubles. On the date of sale, the ruble is quoted at \$0.35. Poke collects half the receivable on October 18, when the ruble is worth \$0.32. Then on November 15, when the foreign-exchange rate of the ruble is \$0.38, Poke collects the final amount.

Journalize these three transactions for Poke.

LO 4

**S8-10. (Learning Objective 4: Accounting for transactions stated in a foreign currency)** Ocean Belting sells goods for 1,100,000 Mexican pesos. The foreign exchange rate for a peso is \$0.085 on the date of sale. Ocean Belting then collects cash on April 24, when the exchange rate for a peso is \$0.090. Record Ocean's cash collection.

Ocean Belting buys inventory for 28,000 Swiss francs. A Swiss franc costs \$0.82 on the purchase date. Record Ocean Belting's payment of cash on October 25, when the exchange rate for a Swiss Franc is \$0.86.

In these two scenarios, which currencies strengthened? Which currencies weakened?

LO 4

**S8-11. (Learning Objective 5: Reporting cash flows)** Companies divide their cash flows into three categories for reporting on the cash flow statement.

1. List the three categories of cash flows in the order they appear on the cash flow statement. Which category of cash flow is most closely related to this chapter?
2. Identify two types of transactions that companies report as cash flows from investing activities.

LO 5

**S8-12. (Learning Objective 5: Using a statement of cash flows)** Excerpts from The ABC Company statement of cash flows, as adapted, appear as follows:

LO 5

■ writing assignment

| A1 |                                                                                  |                                |             |
|----|----------------------------------------------------------------------------------|--------------------------------|-------------|
|    | A                                                                                | B                              | C           |
| 1  | <b>The ABC Company and Subsidiaries<br/>Consolidated Statement of Cash Flows</b> |                                |             |
| 2  | <b>(Adapted, in millions)</b>                                                    | <b>Years Ended December 31</b> |             |
| 3  | <b>Operating Activities</b>                                                      | <b>20X7</b>                    | <b>20X6</b> |
| 4  | Net cash provided by operating activities                                        | \$ 4,222                       | \$ 1,170    |
| 5  | <b>Investing Activities</b>                                                      |                                |             |
| 6  | Purchases of property, plant and equipment                                       | (782)                          | (743)       |
| 7  | Acquisitions and investments, principally trademarks and                         |                                |             |
| 8  | bottling companies                                                               | (665)                          | (407)       |
| 9  | Purchases of investments                                                         | (461)                          | (522)       |
| 10 | Proceeds from disposals of investments                                           | 475                            | 300         |
| 11 | Proceeds from disposals of property, plant and equipment                         | 100                            | 56          |
| 12 | Other investing activities                                                       | 143                            | 139         |
| 13 | Net cash used in investing activities                                            | (1,190)                        | (1,177)     |
| 14 | <b>Financing Activities</b>                                                      |                                |             |
| 15 | Issuances of debt (borrowing)                                                    | 3,021                          | 3,675       |
| 16 | Payments of debt                                                                 | (4,017)                        | (4,279)     |
| 17 | Issuances of shares                                                              | 172                            | 342         |
| 18 | Purchases of shares for treasury                                                 | (280)                          | (145)       |
| 19 | Dividends                                                                        | (1,795)                        | (1,697)     |
| 20 | Net cash used in financing activities                                            | (2,899)                        | (2,104)     |
| 21 |                                                                                  |                                |             |

As the chief executive officer of The ABC Company, your duty is to write the management letter to your shareholders explaining ABC's major investing activities during 20X7. Compare the company's level of investment with previous years and indicate how the company financed its investments during 20X7. Net income for 20X7 was \$3,791 million.

## Exercises MyLab Accounting

Select A and B exercises can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select exercises using MyLab Accounting.

### Group A

**L0 1**

**E8-13A. (*Learning Objective 1: Journalizing transactions for trading securities*)** Journalize the following trading securities investment transactions of Wesley Brothers Department Stores:

- Purchased 470 Potter Foods shares at \$32 per share, with the intent of holding the shares for the indefinite future.
- Received cash dividend of \$1.80 per share on the Potter investment.
- At year-end, adjusted the investment account to fair market value of \$35 per share.
- Sold the Potter shares for the market price of \$23 per share.

**L0 1**

**E8-14A. (*Learning Objective 1: Accounting for available-for-sale investments*)** Rand Co. bought 3,400 Stockholm shares at \$36; 660 London shares at \$47.50; and 1,200 Glasgow shares at \$75—all as available-for-sale investments. At December 31, Hoover's Online reports Stockholm shares at \$27.375, London at \$49.25, and Glasgow at \$67.75.

#### Requirements

- Determine the cost and the fair market value of the long-term investment portfolio at December 31.
- Record Rand's adjusting entry at December 31.
- What would Rand report on its Income Statement and Balance Sheet for the information given? Make the necessary disclosures. Ignore income tax.

**L0 1**

**E8-15A. (*Learning Objective 1: Recording bond investment transactions*)** Assume that on September 30, 20X0, Pewtex, Inc., paid 98 for 9% bonds of Teal Corporation as a long-term held-to-maturity investment. The maturity value of the bonds will be \$30,000 on September 30, 20X5. The bonds pay interest on March 31 and September 30.

#### Requirements

- What method should Pewtex use to account for its investment in the Teal bonds?
- Using the straight-line method of amortizing the bonds, journalize all of Pewtex's transactions on the bonds for 20X0.
- Show how Pewtex would report everything related to the bond investment on its Balance Sheet at December 31, 20X0.

**L0 2**

**E8-16A. (*Learning Objective 2: Accounting for transactions under the equity method*)** Pepper Corporation owns equity-method investments in several companies. Suppose Pepper paid \$1,600,000 to acquire a 25% investment in Payton Software Company. Payton Software reported net income of \$680,000 for the first year and declared and paid cash dividends of \$400,000.

#### Requirements

- Record the following in Pepper's journal: (a) purchase of the investment, (b) Pepper's proportion of Payton Software's net income, and (c) receipt of the cash dividends.
- What is the ending balance in Pepper's investment account?

**L0 2**

**E8-17A. (*Learning Objective 2: Measuring gain or loss on the sale of an equity-method investment*)** Without making journal entries, record the transactions of Exercise 8-16A directly in the Pepper account, Long-Term Investment in Payton Software. Assume that after all the noted transactions took place, Pepper sold its entire investment in Payton Software for \$1,800,000 cash. How much is Pepper's gain or loss on the sale of the investment?

**E8-18A. (Learning Objective 2: Applying the appropriate accounting method for a 35% investment)** Ashcroft Financial paid \$580,000 for a 35% investment in the ordinary shares of Sonic, Inc. For the first year, Sonic reported net income of \$200,000 and at year-end declared and paid cash dividends of \$120,000. On the Balance-Sheet date, the market value of Ashcroft's investment in Sonic shares was \$380,000.

LO 2

### Requirements

1. Which method is appropriate for Ashcroft Financial to use in accounting for its investment in Sonic? Why?
2. Show everything that Ashcroft would report for the investment and any investment revenue in its year-end financial statements.

**E8-19A. (Learning Objective 3: Preparing a consolidated Balance Sheet)** XYZ, Inc., owns Cressida Corp. The two companies' individual Balance Sheets follow:

LO 3

■ spreadsheet

| A1 |                                             |            |                |                      |        |
|----|---------------------------------------------|------------|----------------|----------------------|--------|
|    | A                                           | B          | C              | D                    | E      |
| 1  | XYZ, Inc.<br>Consolidation Worksheet        | XYZ, Inc.  | Cressida Corp. | Elimination<br>Debit | Credit |
| 2  | <b>Assets</b>                               |            |                |                      |        |
| 3  | Cash                                        | \$ 51,000  | \$ 18,000      |                      |        |
| 4  | Accounts receivable, net                    | 85,000     | 58,000         |                      |        |
| 5  | Note receivable from XYZ                    | —          | 40,000         |                      |        |
| 6  | Inventory                                   | 57,000     | 81,000         |                      |        |
| 7  | Investment in Cressida                      | 103,000    | —              |                      |        |
| 8  | PPE, net                                    | 291,000    | 96,000         |                      |        |
| 9  | Other assets                                | 22,000     | 9,000          |                      |        |
| 10 | Total                                       | \$ 609,000 | \$ 302,000     |                      |        |
| 11 |                                             |            |                |                      |        |
| 12 | <b>Liabilities and Shareholders' Equity</b> |            |                |                      |        |
| 13 | Accounts payable                            | \$ 46,000  | \$ 29,000      |                      |        |
| 14 | Notes payable                               | 147,000    | 35,000         |                      |        |
| 15 | Other liabilities                           | 79,000     | 135,000        |                      |        |
| 16 | Share capital                               | 113,000    | 81,000         |                      |        |
| 17 | Retained earnings                           | 224,000    | 22,000         |                      |        |
| 18 | Total                                       | \$ 609,000 | \$ 302,000     |                      |        |
| 19 |                                             |            |                |                      |        |

### Requirements

1. Prepare a consolidated Balance Sheet of XYZ, Inc., using the above consolidation worksheet.
2. What is the amount of shareholders' equity for the consolidated entity?

**E8-20A. (Learning Objective 4: Managing and accounting for foreign currency transactions)** Assume that Computer City Stores completed the following foreign currency transactions:

LO 4

■ writing assignment

|        |                                                                                                                                                        |
|--------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
| Sep 9  | Purchased DVD players as inventory on account from Sona, a Japanese company. The price was 800,000 yen, and the exchange rate of the yen was \$0.0088. |
| Oct 18 | Paid Sona when the exchange rate was \$0.0085.                                                                                                         |
| 22     | Sold merchandise on account to CoCo, a French company, at a price of 50,000 euros. The exchange rate was \$1.26.                                       |
| 22     | Collected from CoCo when the exchange rate was \$1.20.                                                                                                 |

### Requirements

1. Journalize these transactions for Computer City. Focus on the gains and losses caused by changes in foreign currency rates. (Round your answers to the nearest whole dollar.)

## ■ spreadsheet

LO 4

2. On September 10, immediately after the purchase, and on October 23, immediately after the sale, which currencies did Computer City want to strengthen? Which currencies did in fact strengthen? Explain your reasoning.

**E8-21A. (Learning Objective 4: Translating a foreign-currency Balance Sheet into dollars)**

Translate into dollars the Balance Sheet of Nevada Leather Goods' Spanish subsidiary. When Nevada Leather Goods acquired the foreign subsidiary, a euro was worth \$1.02. The current exchange rate is \$1.36. During the period when retained earnings were earned, the average exchange rate was \$1.15 per euro.

|                        | Euros          |
|------------------------|----------------|
| Assets .....           | <u>800,000</u> |
| Liabilities .....      | 550,000        |
| Shareholders' equity:  |                |
| Share capital.....     | 70,000         |
| Retained earnings..... | <u>180,000</u> |
|                        | <u>800,000</u> |

During the period covered by this situation, which currency was stronger, the dollar or the euro?

LO 5

**E8-22A. (Learning Objective 5: Preparing and using the statement of cash flows)** During fiscal year 20X6, Sweet Land Doughnuts reported net loss of \$128.9 million. Sweet Land received \$1.4 million from the sale of other businesses. Sweet Land made capital expenditures of \$10.0 million and sold property, plant and equipment for \$6.8 million. The company purchased long-term investments at a cost of \$11.5 million and sold other long-term investments for \$2.7 million.

**Requirement**

1. Prepare the investing activities section of Sweet Land Doughnuts' statement of cash flows. Based solely on Sweet Land Doughnuts' investing activities, does it appear that the company is growing or shrinking? How can you tell?

LO 5

**E8-23A. (Learning Objective 5: Using the statement of cash flows)** At the end of the year, Crown King Properties' statement of cash flows reported the following for investment activities:

| A1 |                                                        |              |
|----|--------------------------------------------------------|--------------|
|    | A                                                      | B            |
|    | <b>Crown King Properties</b>                           |              |
|    | <b>Consolidated Statement of Cash Flows (Partial)</b>  |              |
| 1  |                                                        |              |
| 2  | Cash flows from Investing Activities:                  |              |
| 3  | Notes receivable collected                             | \$ 3,128,000 |
| 4  | Purchases of short-term investments                    | (3,475,000)  |
| 5  | Proceeds from sales of equipment                       | 1,600,000*   |
| 6  | Proceeds from sales of investments (cost of \$470,000) | 479,000      |
| 7  | Expenditures for property and equipment                | (1,737,000)  |
| 8  | Net used by investing activities                       | \$ (5,000)   |
| 9  |                                                        |              |

\*Cost \$5,400,000; Accumulated depreciation, \$3,800,000.

**Requirement**

1. For each item listed, make the journal entry that placed the item on Crown King's statement of cash flows.

**Group B**

LO 1

**E8-24B. (Learning Objective 1: Journalizing transactions for trading securities)** Journalize the following trading securities investment transactions of Johnson Brothers Department Stores:

- a. Purchased 460 Jefferson Foods shares at €31 per share, with the intent of holding the shares for the indefinite future.
- b. Received cash dividend of €1.40 per share on the Jefferson investment.
- c. At year-end, adjusted the investment account to fair market value of €40 per share.
- d. Sold the Jefferson shares for the market price of €20 per share.

**E8-25B. (Learning Objective 1: Accounting for available-for-sale investments)** Leroy Co. bought 3,800 Canada shares at €39; 640 Chile shares at €48.25; and 1,500 Milan shares at €78—all as available-for-sale investments. At December 31, Hoover's Online reports Canada shares at €29.125, Chile at €50.25, and Milan at €69.50.

**L0 1**

### Requirements

1. Determine the cost and the market value of the long-term investment portfolio at December 31.
2. Record Leroy's adjusting entry at December 31.
3. What would Leroy report on its Income Statement and Balance Sheet for the information given? Make the necessary disclosures. Ignore income tax.

**E8-26B. (Learning Objective 4: Recording bond investment transactions)** Assume that on September 30, 20X0, Baytex, Inc., paid 95 for 8.5% bonds of Carly Corporation as a long-term held-to-maturity investment. The maturity value of the bonds will be €40,000 on September 30, 20X5. The bonds pay interest on March 31 and September 30.

**L0 4**

### Requirements

1. What method should Baytex use to account for its investment in the Carly bonds?
2. Using the straight-line method of amortizing the bonds, journalize all of Baytex's transactions on the bonds for 20X0.
3. Show how Baytex would report everything related to the bond investment on its Balance Sheet at December 31, 20X0.

**E8-27B. (Learning Objective 2: Accounting for transactions under the equity method)** Watson Corporation owns equity-method investments in several companies. Suppose Watson paid €1,200,000 to acquire a 32% investment in Sam Software Company. Sam Software reported net income of €640,000 for the first year and declared and paid cash dividends of €450,000.

**L0 2**

### Requirements

1. Record the following in Watson's journal: (a) purchase of the investment, (b) Watson's proportion of Sam Software's net income, and (c) receipt of the cash dividends.
2. What is the ending balance in Watson's investment account?

**E8-28B. (Learning Objective 2: Measuring gain or loss on the sale of an equity-method investment)** Without making journal entries, record the transactions of Exercise 8-27B directly in the Watson account, Long-Term Investment in Sam Software. Assume that after all the noted transactions took place, Watson sold its entire investment in Sam Software for cash of €3,200,000. How much is Watson's gain or loss on the sale of the investment?

**L0 2**

**E8-29B. (Learning Objective 2: Applying the appropriate accounting method for a 20% investment)** Eva Financial paid €550,000 for a 20% investment in the ordinary shares of Wally, Inc. For the first year, Wally reported net income of €240,000 and at year-end declared and paid cash dividends of €100,000. On the Balance-Sheet date, the market value of Eva's investment in Wally shares was €420,000.

**L0 2**

### Requirements

1. Which method is appropriate for Eva Financial to use in its accounting for its investment in Wally? Why?
2. Show everything that Eva would report for the investment and any investment revenue in its year-end financial statements.

LO 3

## ■ spreadsheet

**E8-30B.** (*Learning Objective 3: Preparing a consolidated Balance Sheet*) Gamma, Inc., owns Hamlet Corp. These two companies' individual Balance Sheets follow:

| A1 |                                        |             |                 |             |        |
|----|----------------------------------------|-------------|-----------------|-------------|--------|
|    | A                                      | B           | C               | D           | E      |
| 1  | Gamma, Inc.<br>Consolidation Worksheet | Gamma, Inc. | Hamlet<br>Corp. | Elimination |        |
| 2  | Assets                                 |             |                 | Debit       | Credit |
| 3  | Cash                                   | € 50,000    | € 19,000        |             |        |
| 4  | Accounts receivable, net               | 79,000      | 54,000          |             |        |
| 5  | Note receivable from Gamma             | —           | 43,000          |             |        |
| 6  | Inventory                              | 55,000      | 78,000          |             |        |
| 7  | Investment in Hamlet                   | 93,000      | —               |             |        |
| 8  | PPE, net                               | 284,000     | 90,000          |             |        |
| 9  | Other assets                           | 24,000      | 5,000           |             |        |
| 10 | Total                                  | € 585,000   | € 289,000       |             |        |
| 11 |                                        |             |                 |             |        |
| 12 | Liabilities and Shareholders' Equity   |             |                 |             |        |
| 13 | Accounts payable                       | € 48,000    | € 27,000        |             |        |
| 14 | Notes payable                          | 154,000     | 31,000          |             |        |
| 15 | Other liabilities                      | 80,000      | 138,000         |             |        |
| 16 | Share capital                          | 111,000     | 78,000          |             |        |
| 17 | Retained earnings                      | 192,000     | 15,000          |             |        |
| 18 | Total                                  | € 585,000   | € 289,000       |             |        |
| 19 |                                        |             |                 |             |        |

## Requirements

1. Prepare a consolidated Balance Sheet of Gamma, Inc., using the above consolidation worksheet.
2. What is the amount of shareholders' equity for the consolidated entity?

LO 4

## ■ writing assignment

**E8-31B.** (*Learning Objective 4: Managing and accounting for foreign currency transactions*) Assume that Tech Know Stores completed the following foreign currency transactions:

|        |                                                                                                                                                         |
|--------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
| Jul 17 | Purchased DVD players as inventory on account from Toshikar, a Japanese company. The price was ¥700,000, and the exchange rate of the yen was \$0.0086. |
| Aug 16 | Paid Toshikar when the exchange rate was \$0.0080.                                                                                                      |
| 19     | Sold merchandise on account to Magnificent, a French company, at a price of €20,000. The exchange rate was \$1.20.                                      |
| 30     | Collected from Magnificent when the exchange rate was \$1.12.                                                                                           |

## Requirements

1. Journalize these transactions for Tech Know. Focus on the gains and losses caused by changes in foreign currency rates. (Round your answers to the nearest whole dollar.)
2. On July 18, immediately after the purchase, and on August 20, immediately after the sale, which currencies did Tech Know want to strengthen? Which currencies did in fact strengthen? Explain your reasoning.

**E8-32B. (Learning Objective 4: Translating a foreign currency Balance Sheet into dollars)** Translate into dollars the Balance Sheet of Maine Leather Goods' Spanish subsidiary. When Maine Leather Goods acquired the foreign subsidiary, a euro was worth €1.08. The current exchange rate is €1.30. During the period when retained earnings were earned, the average exchange rate was €1.18 per euro.

**L0 4**

■ spreadsheet

|                        | Euros          |
|------------------------|----------------|
| Assets .....           | <u>700,000</u> |
| Liabilities .....      | 500,000        |
| Shareholders' equity:  |                |
| Share capital.....     | 65,000         |
| Retained earnings..... | <u>135,000</u> |
|                        | <u>700,000</u> |

During the period covered by this situation, which currency was stronger, the dollar or the euro?

**E8-33B. (Learning Objective 6: Preparing and using the statement of cash flows)** During fiscal year 20X5, Glazed Doughnuts reported net loss of €131.3 million. Glazed received €1.8 million from the sale of other businesses. Glazed made capital expenditures of €10.7 million and sold property, plant and equipment for €7.1 million. The company purchased long-term investments at a cost of €11.9 million and sold other long-term investments for €2.2 million.

**L0 6**

### Requirement

1. Prepare the investing activities section of Glazed Doughnuts' statement of cash flows. Based solely on Glazed Doughnuts' investing activities, does it appear that the company is growing or shrinking? How can you tell?

**E8-34B. (Learning Objective 5: Using the statement of cash flows)** At the end of the year, Elite Properties' statement of cash flows reported the following investment activities:

**L0 5**

| A1 |                                                       |             |
|----|-------------------------------------------------------|-------------|
|    | A                                                     | B           |
|    | <b>Elite Properties</b>                               |             |
| 1  | <b>Consolidated Statement of Cash Flows (Partial)</b> |             |
| 2  | Cash flows from Investing Activities:                 |             |
| 3  | Notes receivable collected                            | € 3,112,000 |
| 4  | Purchases of short-term investments                   | (3,454,000) |
| 5  | Proceeds from sales of equipment                      | 1,540,000*  |
| 6  | Proceeds from sales of investments (cost of €490,000) | 499,000     |
| 7  | Expenditures for property and equipment               | (1,735,000) |
| 8  | Net used for investing activities                     | € (38,000)  |
| 9  |                                                       |             |

\*Cost €5,200,000; Accumulated depreciation, €3,660,000.

### Requirement

1. For each item listed, make the journal entry that placed the item on Elite's statement of cash flows.

## Challenge Exercises

**L0 1 2 3 4**

**E8-35. (Learning Objectives 1, 2, 3, 4: Accounting for various types of investments)** Suppose Heyya owns the following investments at December 31, 20X6:

- 100% of the ordinary shares of Heyya United Kingdom, which holds assets of £1,500,000 and owes a total of £1,300,000. At December 31, 20X6, the current exchange rate of the pound (£) is £1 = \$2.01. The translation rate of the pound applicable to shareholders' equity is £1 = \$1.64. During 20X6, Heyya United Kingdom earned net income of £130,000, and the average exchange rate for the year was £1 = \$1.92. Heyya United Kingdom paid cash dividends of £30,000 during 20X6.
- Investments that Heyya is holding to sell. These investments cost \$1,600,000 and declined in value by \$350,000 during 20X6, but they paid cash dividends of \$25,000 to Heyya. One year ago, at December 31, 20X5, the market value of these investments was \$1,600,000.
- 45% of the ordinary shares of Heyya Financing Associates. During 20X6, Heyya Financing earned net income of \$500,000 and declared and paid cash dividends of \$25,000. The carrying amount of this investment was \$500,000 at December 31, 20X5.

### Requirements

- Which method is used to account for each investment?
- By how much did each of these investments increase or decrease Heyya's net income during 20X6?
- For investments **b** and **c**, show how Heyya would report these investments on its Balance Sheet at December 31, 20X6.

**L0 1 4**

**E8-36. (Learning Objectives 1, 4: Explaining and analyzing other comprehensive income)** Fashion Retail Corporation reported shareholders' equity on its Balance Sheet at December 31, as follows:

| A1 |                                                   |        |
|----|---------------------------------------------------|--------|
|    | A                                                 | B      |
| 1  | <b>Fashion Retail<br/>Balance Sheet (Partial)</b> |        |
| 2  | Shareholders' Equity:                             |        |
| 3  | Ordinary shares, \$1.00 par value—                |        |
| 4  | 600 million shares authorized,                    |        |
| 5  | 200 shares issued                                 | \$ 200 |
| 6  | Additional paid-in capital                        | 1,100  |
| 7  | Retained earnings                                 | 6,530  |
| 8  | Accumulated other comprehensive (loss)            | (?)    |
| 9  | Less: Treasury shares, at cost                    | (80)   |
| 10 |                                                   |        |

### Requirements

- Identify the two components that typically make up other comprehensive income.
- For each component of accumulated other comprehensive income, describe an example that can cause a *positive* figure and another example that can cause a *negative* figure.

## Quiz

Test your understanding of long-term investments and international operations by answering the following questions. Select the best choice from among the possible answers given.

### Questions 37–39 use the following data:

Assume that Global Networks owns the following long-term available-for-sale investments:

| Company         | Number of Shares | Cost per Share | Current Market Value per Share | Dividend per Share |
|-----------------|------------------|----------------|--------------------------------|--------------------|
| ABC Corp.       | 1,200            | \$61           | \$75                           | \$2.10             |
| Good Food, Inc. | 150              | 12             | 13                             | 1.40               |
| Lesley Ltd.     | 700              | 23             | 27                             | 0.80               |

**Q8-37.** Global's Balance Sheet should report

- a. investments of \$110,850.
- b. unrealized loss of \$19,750.
- c. investments of \$91,100.
- d. dividend revenue of \$3,290.

**Q8-38.** Global's Income Statement should report

- a. gain on sale of investment of \$19,900.
- b. unrealized gain of \$19,900.
- c. dividend revenue of \$3,290.
- d. investments of \$89,050.

**Q8-39.** Suppose Global sells the ABC shares for \$74 per share. Journalize the sale.

**Q8-40.** Dividends received on an equity-method investment

- a. increase the investment account.
- b. increase dividend revenue.
- c. decrease the investment account.
- d. increase owners' equity.

**Q8-41.** The starting point in accounting for all investments is

- a. equity value.
- b. cost.
- c. market value on the Balance-Sheet date.
- d. cost minus dividends.

**Q8-42.** Consolidation accounting

- a. combines the accounts of the parent company and those of the subsidiary companies.
- b. eliminates all liabilities.
- c. reports the receivables and payables of the parent company only.
- d. all of the above.

**Q8-43.** On January 1, 20X0, Maxspace, Inc., purchased \$100,000 face value of the 5% bonds of Mail Frontier, Inc., at 107. The bonds mature on January 1, 20X5. For the year ended December 31, 20X5, Maxspace received cash interest of

- a. \$2,000.
- b. \$3,000.
- c. \$4,000.
- d. \$5,000.

**Q8-44.** Return to Maxspace, Inc.'s bond investment in the preceding question. For the year ended December 31, 20X3, Maxspace received cash interest of \$5,000. What was the interest revenue that Maxspace earned in this period?

- a. \$5,000
- b. \$3,600
- c. \$7,000
- d. \$2,000

**Q8-45.** Providence Systems purchased inventory on account from Megasonic. The price was ¥80,000, and a yen was quoted at \$0.0088. Providence paid the debt in yen a month later, when the price of a yen was \$0.0093. Providence

- a. debited Inventory for \$744.
- b. recorded a Foreign Currency Transaction Gain of \$40.
- c. debited Inventory for \$704.
- d. none of the above.

- Q8-46.** One way to prevent a foreign currency transaction loss is to
- offset foreign currency inventory and PPE.
  - pay debts as late as possible.
  - pay in the foreign currency.
  - collect in your currency.
- Q8-47.** Foreign currency transaction gains and losses are reported on the
- consolidation worksheet.
  - Income Statement.
  - statement of cash flows.
  - Balance Sheet.
- Q8-48.** Consolidation of a foreign subsidiary usually results in a
- gain or loss on consolidation.
  - foreign currency translation adjustment.
  - foreign currency transaction gain or loss.
  - LIFO/FIFO difference.

## Problems MyLab Accounting

Select A and B problems can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select problems using MyLab Accounting.

### Group A

**L0 1**

**P8-49A.** (*Learning Objective 1: Accounting for a bond investment purchased at a premium*)

Insurance companies and pension plans hold large quantities of bond investments. Secure Insurance Corp. purchased \$2,200,000 of 4.0% bonds of Sheehan, Inc., for 112 on January 1, 20X0. These bonds pay interest on January 1 and July 1 each year. They mature on January 1, 20X4. At October 31, 20X0, the market price of the bonds is 108.

### Requirements

- Journalize Secure's purchase of the bonds as a long-term investment on January 1, 20X0 (to be held to maturity), receipt of cash interest, and amortization of the bond investment at July 1, 20X0. The straight-line method is appropriate for amortizing the bond investment.
- Show all financial statement effects of this long-term bond investment on Secure Insurance Corp.'s Balance Sheet and Income Statement at October 31, 20X0.

**L0 1 2**

**P8-50A.** (*Learning Objectives 1, 2: Reporting investments on the Balance Sheet and the related revenue on the Income Statement*) Montana Exchange Company completed the following long-term investment transactions during 20X6:

| 20X6 |    |                                                                                                                        |
|------|----|------------------------------------------------------------------------------------------------------------------------|
| May  | 12 | Purchased 20,000 shares, which make up 30% of the ordinary shares of Woburn Corporation at total cost of \$380,000.    |
| Jul  | 9  | Received annual cash dividend of \$1.28 per share on the Woburn investment.                                            |
| Sep  | 16 | Purchased 900 shares of Columbus, Inc., ordinary shares as an available-for-sale investment, paying \$40.00 per share. |
| Oct  | 30 | Received cash dividend of \$0.38 per share on the Columbus investment.                                                 |
| Dec  | 31 | Received annual report from Woburn Corporation. Net income for the year was \$580,000.                                 |

At year-end the fair market value of Columbus shares is \$30,000. The fair market value of the Woburn shares is \$658,000.

## Requirements

1. For which investment is fair market value used in the accounting? Why is fair market value used for one investment and not the other?
2. Show what Montana would report on its year-end Balance Sheet and Income Statement for these investment transactions. It is helpful to use a T-account for the Long-Term Investment in Woburn account. Ignore income tax.

**P8-51A.** (*Learning Objectives 1, 2: Accounting for available-for-sale and equity-method investments*) The beginning Balance Sheet of Noram Corporation included the following:

**L0 1 2**

|                                                                            |           |
|----------------------------------------------------------------------------|-----------|
| Long-Term Investment in Rockaway Software (equity-method investment) ..... | \$612,000 |
|----------------------------------------------------------------------------|-----------|

Noram completed the following investment transactions during the year:

|        |                                                                                                                                  |
|--------|----------------------------------------------------------------------------------------------------------------------------------|
| Mar 16 | Purchased 1,400 shares of Canton, Inc., as a long-term available-for-sale investment, paying \$14.00 per share.                  |
| May 21 | Received cash dividend of \$1.85 per share on the Canton investment.                                                             |
| Aug 17 | Received cash dividend of \$86,000 from Rockaway Software.                                                                       |
| Dec 31 | Received annual reports from Rockaway Software; net income for the year was \$520,000. Of this amount Noram's proportion is 20%. |

At year-end, the fair market values of Noram's investments are as follows: Canton, \$26,600; Rockaway, \$698,000.

## Requirements

1. Record the transactions in the journal of Noram Corporation.
2. Post entries to the T-account for Long-Term Investment in Rockaway and determine its balance at December 31.
3. Show how to report the Long-Term Available-for-Sale Investments and the Long-Term Investment in Rockaway accounts on Noram's Balance Sheet at December 31.

**P8-52A.** (*Learning Objective 3: Analyzing consolidated financial statements*) This problem demonstrates the dramatic effect that consolidation accounting can have on a company's ratios. Fixed Motor Company (Fixed) owns 100% of Fixed Motor Credit Corporation (FMCC), its financing subsidiary. Fixed's main operations consist of manufacturing automotive products. FMCC mainly helps people finance the purchase of automobiles from Fixed and its dealers. The two companies' individual Balance Sheets are adapted and summarized as follows (amounts in billions):

**L0 3**

|                                    | Fixed<br>(Parent) | FMCC<br>(Subsidiary) |
|------------------------------------|-------------------|----------------------|
| Total assets .....                 | <u>\$89.7</u>     | <u>\$170.7</u>       |
| Total liabilities .....            | \$65.1            | \$156.6              |
| Total shareholders' equity .....   | <u>24.6</u>       | <u>14.1</u>          |
| Total liabilities and equity ..... | <u>\$89.7</u>     | <u>\$170.7</u>       |

Assume that FMCC's liabilities include \$2.3 billion owed to Fixed, the parent company.

## Requirements

1. Compute the debt ratio of Fixed Motor Company considered alone.
2. Determine the consolidated total assets, total liabilities, and shareholders' equity of Fixed Motor Company after consolidating the financial statements of FMCC into the totals of Fixed, the parent company.
3. Recompute the debt ratio of the consolidated entity. Why do companies prefer not to consolidate their financing subsidiaries into their own financial statements?

**L0 3**

### ■ spreadsheet

**P8-53A. (Learning Objective 3: Consolidating a wholly owned subsidiary)** Assume Rose, Inc., paid \$453,000 to acquire all the share capital of Mountain Corporation, and Mountain owes Rose \$175,000 on a note payable. Immediately after the purchase on September 30, 20X6, the two companies' Balance Sheets follow.

|                                             | Rose               | Mountain           |
|---------------------------------------------|--------------------|--------------------|
| <b>Assets</b>                               |                    |                    |
| Cash.....                                   | \$ 60,000          | \$ 59,000          |
| Accounts receivable, net.....               | 194,000            | 86,000             |
| Note receivable from Mountain .....         | 175,000            | —                  |
| Inventory.....                              | 305,000            | 458,000            |
| Investment in Mountain .....                | 453,000            | —                  |
| PPE, net.....                               | 403,000            | 524,000            |
| Total .....                                 | <u>\$1,590,000</u> | <u>\$1,127,000</u> |
| <b>Liabilities and Shareholders' Equity</b> |                    |                    |
| Accounts payable .....                      | \$ 122,000         | \$ 67,000          |
| Notes payable .....                         | 410,000            | 312,000            |
| Other liabilities .....                     | 216,000            | 295,000            |
| Share capital.....                          | 556,000            | 268,000            |
| Retained earnings.....                      | 286,000            | 185,000            |
| Total .....                                 | <u>\$1,590,000</u> | <u>\$1,127,000</u> |

## Requirement

1. Prepare the worksheet for the consolidated Balance Sheet of Rose, Inc.

**L0 4**

**P8-54A. (Learning Objective 4: Recording foreign currency transactions and reporting the transaction gain or loss)** Suppose Sapphire Corporation completed the following international transactions:

|        |                                                                                                                                                                                          |
|--------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| May 1  | Sold inventory on account to Fiat, the Italian automaker, for €65,000. The exchange rate of the euro was \$1.30, and Fiat demands to pay in euros.                                       |
| 10     | Purchased supplies on account from a Canadian company at a price of Canadian \$59,000. The exchange rate of the Canadian dollar was \$0.78, and the payment will be in Canadian dollars. |
| 17     | Sold inventory on account to an English firm for 134,000 British pounds. Payment will be in pounds, and the exchange rate of the pound was \$1.98.                                       |
| 22     | Collected from Fiat. The exchange rate is €1 = \$1.34.                                                                                                                                   |
| Jun 18 | Paid the Canadian company. The exchange rate of the Canadian dollar is \$0.76.                                                                                                           |
| 24     | Collected from the English firm. The exchange rate of the British pound was \$1.93.                                                                                                      |

## Requirements

1. Record these transactions in Sapphire's journal and show how to report the transaction gain or loss on the Income Statement.
2. How will what you learned in this problem help you structure international transactions?

**P8-55A.** (*Learning Objective 4: Measuring and explaining the foreign currency translation adjustment*) Assume that Folgate has a subsidiary company based in Japan.

LO 4

### Requirements

1. Translate into dollars the foreign currency Balance Sheet of the Japanese subsidiary of Folgate.

|                        | Yen                |
|------------------------|--------------------|
| Assets .....           | <u>480,000,000</u> |
| Liabilities .....      | 115,000,000        |
| Shareholders' equity:  |                    |
| Share capital.....     | 40,000,000         |
| Retained earnings..... | <u>325,000,000</u> |
|                        | <u>480,000,000</u> |

When Folgate acquired this subsidiary, the Japanese yen was worth \$0.0095. The current exchange rate is \$0.0120. During the period when the subsidiary earned its income, the average exchange rate was \$0.0110 per yen. Before you perform the foreign currency translation calculations, indicate whether Folgate has experienced a positive or a negative translation adjustment. State whether the adjustment is a gain or a loss, and show where it is reported in the financial statements.

2. In which company's financial statements will the translation adjustment be reported?

### Group B

**P8-56B.** (*Learning Objective 1: Accounting for a bond investment purchased at a premium*)

LO 1

Insurance companies and pension plans hold large quantities of bond investments. Sound Insurance Corp. purchased €2,800,000 of 9.0% bonds of Sherman, Inc., for 116 on January 1, 20X0. These bonds pay interest on January 1 and July 1 each year. They mature on January 1, 20X4. At October 31, 20X0, the market price of the bonds is 104.

### Requirements

1. Journalize Sound's purchase of the bonds as a long-term investment on January 1, 20X0 (to be held to maturity), receipt of cash interest, and amortization of the bond investment at July 1, 20X0. The straight-line method is appropriate for amortizing the bond investment.
2. Show all financial statement effects of this long-term bond investment on Sound Insurance Corp.'s Balance Sheet and Income Statement at October 31, 20X0.

**P8-57B.** (*Learning Objectives 1, 2: Reporting investments on the Balance Sheet and the related revenue on the Income Statement*) Helsinki Exchange Company completed the following long-term investment transactions during 20X6:

LO 1 2

| 20X6   |                                                                                                                       |
|--------|-----------------------------------------------------------------------------------------------------------------------|
| May 12 | Purchased 16,500 shares, which make up 40% of the ordinary shares of Brentwood Corporation at total cost of €330,000. |
| Jul 9  | Received annual cash dividend of €1.22 per share on the Brentwood investment.                                         |
| Sep 16 | Purchased 900 shares of Bangkok, Inc., ordinary shares as an available-for-sale investment, paying €43.00 per share.  |
| Oct 30 | Received cash dividend of €0.32 per share on the Bangkok investment.                                                  |
| Dec 31 | Received annual report from Brentwood Corporation. Net income for the year was €530,000.                              |

At year-end the fair market value of the Bangkok shares is €30,300. The fair market value of the Brentwood shares is €655,000.

### Requirements

1. For which investment is fair market value used in the accounting? Why is fair market value used for one investment and not the other?
2. Show what Helsinki would report on its year-end Balance Sheet and Income Statement for these investment transactions. It is helpful to use a T-account for the Long-Term Investment in Brentwood account. Ignore income tax.

**L0 1 2**

**P8-58B.** (*Learning Objectives 1, 2: Accounting for available-for-sale and equity-method investments*) The beginning Balance Sheet of Segui Corporation included the following:

|                                                                       |          |
|-----------------------------------------------------------------------|----------|
| Long-Term Investment in NEW Software (equity-method investment) ..... | €616,000 |
|-----------------------------------------------------------------------|----------|

Segui completed the following investment transactions during the year:

|        |                                                                                                                                     |
|--------|-------------------------------------------------------------------------------------------------------------------------------------|
| Mar 16 | Purchased 1,500 shares of Hubbardston, Inc., ordinary shares as a long-term available-for-sale investment, paying €12.75 per share. |
| May 21 | Received cash dividend of €1.60 per share on the Hubbardston investment.                                                            |
| Aug 17 | Received cash dividend of €85,000 from NEW Software.                                                                                |
| Dec 31 | Received annual reports from NEW Software; net income for the year was €500,000. Of this amount Segui's proportion is 25%.          |

At year-end, the fair market values of Segui's investments are as follows: Hubbardston, €26,100; NEW, €701,000.

### Requirements

1. Record the transactions in the journal of Segui Corporation.
2. Post entries to the T-account for Long-Term Investment in NEW and determine its balance at December 31.
3. Show how to report the Long-Term Available-for-Sale Investments and the Long-Term Investment in NEW accounts on Segui's Balance Sheet at December 31.

**L0 3**

**P8-59B.** (*Learning Objective 3: Analyzing consolidated financial statements*) This problem demonstrates the dramatic effect that consolidation accounting can have on a company's ratios. Space Motor Company (Space) owns 100% of Space Motor Credit Corporation (SMCC), its financing subsidiary. Space's main operations consist of manufacturing automotive products. SMCC mainly helps people finance the purchase of automobiles from Space and its dealers. The two companies' individual Balance Sheets are adapted and summarized as follows (amounts in billions):

|                                    | Space<br>(Parent) | SMCC<br>(Subsidiary) |
|------------------------------------|-------------------|----------------------|
| Total assets .....                 | €89.5             | €170.8               |
| Total liabilities .....            | €65.7             | €156.1               |
| Total shareholder's equity .....   | 23.8              | 14.7                 |
| Total liabilities and equity ..... | €89.5             | €170.8               |

Assume that SMCC's liabilities include €2.8 billion owed to Space, the parent company.

## Requirements

1. Compute the debt ratio of Space Motor Company considered alone.
2. Determine the consolidated total assets, total liabilities, and shareholders' equity of Space Motor Company after consolidating the financial statements of SMCC into the totals of Space, the parent company.
3. Recompute the debt ratio of the consolidated entity. Why do companies prefer not to consolidate their financing subsidiaries into their own financial statements?

**P8-60B.** (*Learning Objective 3: Consolidating a wholly owned subsidiary*) Assume Ronny, Inc., paid €346,000 to acquire all the share capital of Dinette Corporation, and Dinette owes Ronny €192,000 on a note payable. Immediately after the purchase on September 30, 2010, the two companies' Balance Sheets follow.

**L0 3**

■ spreadsheet

|                                             | Ronny             | Dinette           |
|---------------------------------------------|-------------------|-------------------|
| <b>Assets</b>                               |                   |                   |
| Cash.....                                   | € 54,000          | € 52,000          |
| Accounts receivable, net.....               | 195,000           | 89,000            |
| Note receivable from Dinette .....          | 192,000           | —                 |
| Inventory.....                              | 278,000           | 452,000           |
| Investment in Dinette .....                 | 346,000           | —                 |
| PPE, net.....                               | 397,000           | 457,000           |
| Total .....                                 | <u>€1,462,000</u> | <u>€1,050,000</u> |
| <b>Liabilities and Shareholders' Equity</b> |                   |                   |
| Accounts payable .....                      | € 127,000         | € 79,000          |
| Notes payable .....                         | 399,000           | 329,000           |
| Other liabilities .....                     | 249,000           | 296,000           |
| Share capital.....                          | 577,000           | 259,000           |
| Retained earnings.....                      | 110,000           | 87,000            |
| Total .....                                 | <u>€1,462,000</u> | <u>€1,050,000</u> |

## Requirement

1. Prepare the worksheet for the consolidated Balance Sheet of Ronny, Inc.

**P8-61B.** (*Learning Objective 4: Recording foreign currency transactions and reporting the transaction gain or loss*) Suppose Chamomile Corporation completed the following international transactions:

**L0 4**

|        |                                                                                                                                                                                          |
|--------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| May 1  | Sold inventory on account to Palermo, the Italian automaker, for €60,000. The exchange rate of the euro was \$1.37, and Palermo demands to pay in euros.                                 |
| 10     | Purchased supplies on account from a Canadian company at a price of Canadian \$57,000. The exchange rate of the Canadian dollar was \$0.77, and the payment will be in Canadian dollars. |
| 17     | Sold inventory on account to an English firm for 148,000 British pounds. Payment will be in pounds, and the exchange rate of the pound was \$1.95.                                       |
| 22     | Collected from Palermo. The exchange rate is €1 = \$1.42.                                                                                                                                |
| Jun 18 | Paid the Canadian company. The exchange rate of the Canadian dollar is \$0.75.                                                                                                           |
| 24     | Collected from the English firm. The exchange rate of the British pound was \$1.91.                                                                                                      |

## Requirements

1. Record these transactions in Chamomile's journal and show how to report the transaction gain or loss on the Income Statement.
2. How will what you learned in this problem help you structure international transactions?

**L0 4**

**P8-62B.** (*Learning Objective 4: Measuring and explaining the foreign currency translation adjustment*) Assume that Mason has a subsidiary company based in Japan.

### Requirements

1. Translate into dollars the foreign currency Balance Sheet of the Japanese subsidiary of Mason.

|                        | Yen                |
|------------------------|--------------------|
| Assets .....           | <u>410,000,000</u> |
| Liabilities .....      | 100,000,000        |
| Shareholders' equity:  |                    |
| Share capital.....     | 18,000,000         |
| Retained earnings..... | <u>292,000,000</u> |
|                        | <u>410,000,000</u> |

When Mason acquired this subsidiary, the Japanese yen was worth €0.0075. The current exchange rate is €0.0100. During the period when the subsidiary earned its income, the average exchange rate was €0.0095 per yen. Before you perform the foreign currency translation calculations, indicate whether Mason has experienced a positive or a negative translation adjustment. State whether the adjustment is a gain or a loss, and show where it is reported in the financial statements.

2. In which company's financial statements will the translation adjustment be reported?

## APPLY YOUR KNOWLEDGE

### Decision Cases

**L0 1 5**

**Case 1.** (*Learning Objectives 1, 5: Making an investment decision*) Infogرافix Corporation's consolidated sales for 20X6 were \$27.6 billion, and expenses totaled \$25.4 billion. Infogرافix operates worldwide and conducts 38% of its business outside Taiwan, its country of incorporation. During 20X6, Infogرافix reported the following items in its financial statements (amounts in millions):

|                                                              |         |
|--------------------------------------------------------------|---------|
| Foreign currency translation adjustments .....               | \$(202) |
| Unrealized holding — on available-for-sale investments ..... | (328)   |

As you consider an investment in Infogرافix shares, some concerns arise. Answer each of the following questions:

1. What do the parentheses around the two dollar amounts signify?
2. Are these items reported as assets, liabilities, shareholders' equity, revenues, or expenses? Are they normal-balance accounts, or are they contra accounts?
3. Did Infogرافix include these items in net income? In retained earnings? In the final analysis, how much net income did Infogرافix report for 20X6?
4. Should these items scare you away from investing in Infogرافix shares? Why or why not? (Challenge)

**L0 1 2 4**

**Case 2.** (*Learning Objectives 1, 2, 4: Making an investment sale decision*) Cathy Talbert is the general manager of Barham Company, which provides data-management services for physicians in the United Arab Emirates area. Barham Company uses USD as its functional currency and accounts for its business transactions in USD. Barham is having a rough year. Net income trails projections for the year by almost \$85,000. This shortfall is especially important. Barham plans to issue shares early next year and needs to show investors that the company can meet its earnings targets.

Barham holds several investments purchased a few years ago. Even though investing in shares is outside Barham's core business of data-management services, Talbert thinks these investments may hold the key to helping the company meet its net income goal for the year. She is considering what to do with the following investments:

1. Barham owns 50% of the ordinary shares of Jafar Office Systems, which provides the business forms that Barham uses. Jafar Office Systems has lost money for the past two years but still has a retained earnings balance of \$560,000. Talbert thinks she can get Jafar's treasurer to declare a \$140,000 cash dividend, half of which would go to Barham.
2. Barham owns a bond investment purchased eight years ago for \$270,000. The purchase price represents a discount from the bonds' maturity value of \$420,000. These bonds mature two years from now, and their current market value is \$400,000. Ms Talbert has checked with a Citibank investment representative, and Talbert is considering selling the bonds. Citibank would charge a 1% commission on the sale transaction.
3. Barham owns 6,000 SABIC's shares valued at \$53 per share. One year ago, SABIC's share was worth only \$27 per share. Barham purchased the shares for \$38 per share. Talbert wonders whether Barham should sell the shares.

### Requirement

1. Evaluate all three actions as a way for Barham Company to generate the needed amount of income. Recommend the best way for Barham to achieve its net income goal.

### Ethical Issue

Media One owns 18% of the voting shares of Web Talk, Inc. The remainder of the Web Talk shares are held by numerous investors with small holdings. Austin Cohen, president of Media One and a member of Web Talk's board of directors, heavily influences Web Talk's policies.

Under the market value method of accounting for investments, Media One's net income increases as it receives dividend revenue from Web Talk. Media One pays President Cohen a bonus computed as a percentage of Media One's net income. Therefore, Cohen can control his personal bonus to a certain extent by influencing Web Talk's dividends.

A recession occurs in 20X6, and Media One's income is low. Cohen uses his power to have Web Talk pay a large cash dividend. The action requires Web Talk to borrow in order to pay the dividend.

### Requirements

1. What are the ethical issues in the Media One case?
2. Who are the stakeholders? What are the possible consequences to each?
3. What are the alternatives for Austin Cohen to consider? Analyze each alternative from the following standpoints: (a) economic, (b) legal, (c) ethical.
4. If you were Cohen, what would you do?
5. Discuss how using the equity method of accounting for investment would decrease Cohen's potential for manipulating his bonus.

### Focus on Financials: | Nestlé

This case spans all 12 chapters and is based on the consolidated financial statements of Nestlé. As you work with Nestlé throughout this course, you will develop the confidence and ability to use the financial statements of other companies as well. Refer to Nestlé's consolidated financial statements in Appendix A. If you wish, you can obtain the full annual report from [www.nestle.com/investors](http://www.nestle.com/investors). You may find the information overwhelming for now, but try to spot the key principles that we have discussed in this chapter. It will get progressively easier as you gain familiarity with the elements of the financial statements.

### Requirements

1. How does Nestlé account for its available-for-sale investments? Does it adjust for periodic changes in fair market value of these investments? If so, where do these adjustments appear?



2. Examine Note 12 – Financial Assets and Liabilities. Under liquid assets and non-current assets, Nestlé reports six different classes of assets and lists all of them. Cash at bank and in hand is reported entirely at amortized cost, while commercial paper is reported entirely as an available-for-sale asset. Suggest why that might be the case for Nestlé.
3. What indicates that Nestlé owns foreign subsidiaries? Identify the item that proves your point and the financial statement on which the item appears.
4. Which currency, the Swiss Franc or the currency of foreign countries in which Nestlé did business, was stronger in each fiscal years 2016 and 2015? Give the evidence to support each answer.
5. At December 31, 2016, did Nestlé have a cumulative net gain or a cumulative net loss from translating its foreign subsidiaries' financial statements into dollars? How can you tell?
6. What do you understand by the "equity method?" Under what circumstances would we use it? How much income did Nestlé recognize in 2016 from its associated companies? Assume that Nestlé received CHF 472 million of dividend income and recognized CHF 807 million of income from its holdings of associates. Show the journal entry for recording income from associates. Journalize this transaction from the point of view of the Group.

## Group Project

You are a group of investors with \$10 million in available funds. You are choosing to make investments in a number of companies.

### Requirements

1. Select three entities that you think are appropriate to invest in, as a trading security investment, as an available-for-sale investment, and as a held-to-maturity investment. Briefly explain why you think the companies you selected could be suitable investments.
2. Track the share or bond prices for these three companies for a period specified by your instructor. Over the specified period, keep a daily record of the price of the share to see how well your investment has performed. End the period of your analysis with a month end, such as September 30 or December 31.
3. Journalize all transactions that you have experienced, including the initial purchase, any dividends or interest received, and any year-end adjustment required by the accounting method that is appropriate for your investment.
4. At the end of the period, you will need to report on your selected investments to your own investors. Show what you will report them on your company's Balance Sheet, Income Statement, and statement of cash flows as a result of your investment transactions.

### Quick Check Answers

- |                                                                                             |                                                                                    |
|---------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| 1. <i>b</i>                                                                                 | 6. <i>c</i> { $\$240,000 + 0.70 [\$64,000 + (0.70 \times \$56,000)] = \$312,240$ } |
| 2. <i>b</i> ( $1,600 \text{ shares} \times \$28 = \$44,800$ )                               | 7. <i>b</i>                                                                        |
| 3. <i>d</i> (unrealized gain less 20% tax, $\$4,800 - 20\% \text{ of } \$4,800 = \$3,840$ ) | 8. <i>a</i>                                                                        |
| 4. <i>c</i> ( $\$45,000 - \$40,000 = \$5,000$ )                                             | 9. <i>d</i> ( $\$1,800,000 \text{ Canadian} \times 2.5 = \$4,500,000$ )            |
| 5. <i>d</i> [ $\$200,000 + 0.30 (\$50,000 - \$20,000) = \$209,000$ ]                        | 10. <i>b</i>                                                                       |

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